



# REVISION BUSINESS STUDIES

## PAPER 2

### *10 SAMPLE PAPERS + ANSWERS*

**SAMPLE PAPER 1**

**BUSINESS STUDIES PAPER 2**

**565/2**



1. a) Explain **FIVE** benefits a person gets as a result of taking a whole life policy with an insurance company. 10mks  
 b) A commodity X has an abnormal demand curve and a normal supply curve. With an aid of a diagram explain the effects on the equilibrium quantity and price caused by an increase in supply. 10mks
2. a) Explain **FOUR** circumstances when a manufacturer would prefer promoting sales of his products using personal selling method. 8mks  
 b) Maendeleo Traders have the following information in their books of account on 31<sup>st</sup> December 2002.

|                    | Kshs.   |
|--------------------|---------|
| Stock (01/01/2002  | 6,000   |
| Sales              | 100,000 |
| Return-in          | 2,000   |
| Return-out         | 2,800   |
| Carriage-in        | 1,000   |
| Carriage-out       | 1,500   |
| Purchases          | 88,000  |
| Stock (31/12/2002) | 4,000   |
| Commission earned  | 3,500   |
| Discount allowed   | 2,200   |
| Sundry expenses    | 4,000   |
| Discount received  | 4,400   |
| Postage            | 800     |
| Stationery         | 1,200   |

### REQUIRED

- (i) Prepare a trading profit and loss account for Maendeleo Traders 10mks
- (ii) Calculate - Mark –up 1mk
- (ii) - ROSTO 1mk
3. a) Explain **FIVE** differences between public corporations and co-operative societies 10mks  
 b) Explain **FIVE** sources of monopoly. 10mks
4. a) Explain **FIVE** factors that can contribute to the expansion of firms in a given industry. 10mks  
 b) Highlight **FIVE** principles of taxation. 10mks
5. a) Below are the national income estimates of country Q during the year 2004.

**Value in Kshs. 000,000**

EXPORTS - 125,000



|                         |   |         |
|-------------------------|---|---------|
| Consumption expenditure | - | 312,000 |
| Investment              | - | 150,000 |
| Government spending     | - | 208,000 |
| Imports                 | - | 105,000 |
| Depreciation            | - | 5,000   |
| Net indirect taxes      | - | 25,000  |

Given that the country has a population of 30 million people,

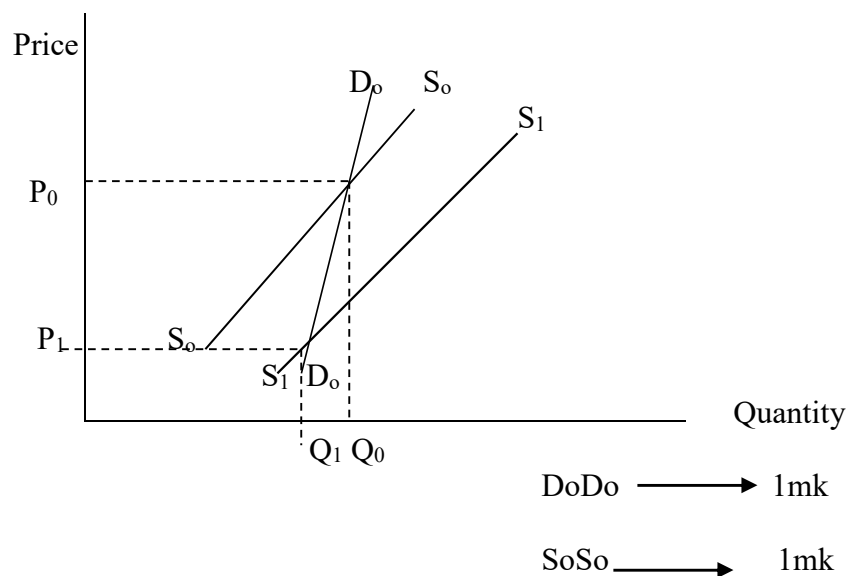
- i) Calculate the GNP per capita of the country. 4mks
- ii) Outline **FOUR** limitations of using GNP per capita in measuring the standards of living in a country. 8mks
- b) Explain **FOUR** services offered by wholesalers to producers. 8mks
6. a) Discuss **FIVE** functions of the central Bank. 10mks
- b) Highlight **FIVE** factors that have contributed to the continued popularity of postal service in Kenya. 10mks

## MARKING SCHEME

### SAMPLE PAPER 1

565 / 2

1. a) Benefits of whole life policy
  - Dependants will be paid sum assured on maturity
  - Payment of premiums waived in case of disability.
  - Termly (period) bonus paid to assured
  - Can opt for surrender value incase he wants to terminate prematurely
  - Policy can be used as security of getting loan
  - Enjoy tax benefits and relief.
- b) (i)





S<sub>1</sub>S<sub>1</sub> → 1mk

The equilibrium Quantity decrease from Q<sub>0</sub> to Q<sub>1</sub>

Equilibrium price reduces from P<sub>0</sub> to P<sub>1</sub>

2. a) Circumstances favouring personal selling

- Need to seal immediate contract
- Need to get immediate feedback
- Need to demonstrate on usage of good esp. technical goods.
- Need to counter stiff competition through persuasion
- If market is small and concentrated.

b)

**Maendeleo traders**

**Trading profit and loss account**

**For the period ending 31<sup>st</sup> – 12 – 2002**

|                          |                   |                   |
|--------------------------|-------------------|-------------------|
| Opening stock            | Sales             | 100,000✓          |
| 6000✓                    | Return –in        | <u>2,000✓</u>     |
| Purchases 88,000✓        | Net sales         | 98,000            |
| Return out 2,800✓        |                   |                   |
| Net purchase 85,200✓     |                   |                   |
| Carriage in <u>1000✓</u> |                   |                   |
| 86200                    |                   |                   |
| <u>86,200</u>            |                   |                   |
| C.O.G.A.S                |                   |                   |
| 72,200✓                  |                   |                   |
| Closing stock            |                   | <u>          </u> |
| 4,000✓                   |                   | <u>98,000</u>     |
| C.O.G.S                  |                   | <u>          </u> |
| 68200✓                   | Gross profit      | 29,800✓           |
| Gross profit             | Commission earned | 3,500✓            |
| 29,800✓✓                 | Discount received | 4,400✓            |
|                          |                   |                   |
| <u>98,000</u>            |                   |                   |
|                          |                   |                   |
| Discount allowed         |                   |                   |
| 2,200✓                   |                   |                   |



|                                                                                                       |                      |
|-------------------------------------------------------------------------------------------------------|----------------------|
| Sundry expenses<br>4,000✓<br>Postage<br>800✓<br>Stationery<br>1200✓<br>Net profit<br><u>29,500</u> ✓✓ |                      |
| <u><b>37,700</b></u>                                                                                  | <u><b>37,700</b></u> |

i) Mark – up  $\frac{GP}{COGS} = \frac{29,000}{68,200} = 43.69\%$

ii) ROSTO =  $\frac{COGS}{AS} = \frac{6820}{6000 + 4000} = 13.64$  times

2

### 3a) Public corporations

### Co-op societies

|                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>- Formed by act of parliament</li> <li>- aim to offer essential services</li> <li>- Mostly monopolies</li> <li>- managed by state appointed directors</li> <li>- Initial capital from the government</li> <li>- Profit &amp; loss government</li> </ul> | <ul style="list-style-type: none"> <li>- Formed under co-op ACT</li> <li>- Aim to service member interest</li> <li>- Are not monopolies</li> <li>- Managed by elected committee member</li> <li>- Initial capital from members contribution</li> <li>- Profit and loss to members</li> </ul> |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

- b)
- Exclusive access to raw materials
  - Exclusive knowledge/ access to the technology
  - High capital requirement that others cannot afford.
  - Govt okeyed / created monopoly
  - Cut – throat competition that knock out competitors.

### 4a) Factors contributing to expansion of firms

- Increase in the population of consumers
- Improvement in transport and communication network
- Increased sources of capital needed for expansion
- Improvement in the service industry which support firms
- Increased availability of raw- materials for production



b) Principles of taxation

- Productivity: - must yield high collection
- Certainty: - time for reception must be anticipated
- Equality: - must ensure everybody pay due tax
- Convenience: - should be at the time when tax payers are able to pay
- Flexibility: - must have ability to be varied incase of changes in economy
- Economy:
- Simplicity:
- Diversity.

5.a) i)  $GNP = C + G + I + X - M$

✓

$$= (312000 + 208000 + 150000 + 125000 - 105000)$$

$$= \text{Ksh } 690\,000 \text{ millions} \checkmark$$

$$\text{Per capital GNP} = \frac{\text{GNP}}{\text{Population size}}$$

$$= \frac{\text{Ksh } 690\,000 \text{ millions} \checkmark}{30 \text{ millions people}}$$

$$= \text{Ksh } 23000 \checkmark$$

- (ii)
- National income and wealth is never equally distributed among residents of a country.
  - Material welfare of the people cannot be measured on a mathematical scale in the same way as per capital GNP.
  - Wants and tastes of people living in a country are never exactly the same.
  - Prices of products in different parts of a country do vary leading to different costs of living
  - The purchasing power of the people is sometimes lowered through taxes and increased through subsidies
  - Sometimes an increase in quantity of output is achieved through a decrease in product quality.
  - Sometimes a rise in production is realized through stressful, dangerous and unpleasant working conditions.

b) Services by wholesalers to producers

- They finance producers by buying goods
- Take over storage expenses from producer
- Save producers risks of pricing, losses by buying goods
- Prepares goods for sale on behalf of producers
- Help in getting market feed back from consumers



- Transport goods for producers
- 6. a) Functions of central bank
  - Banker to the government
  - Financial advisor to the government
  - Lender of last resort to commercial banks
  - Banker to commercial bank
  - Offer clearing house services to com. Bank
  - Lender to government
  - Custodian of foreign exchange reserve
  - Issue of replacement of currency
- b) Popularity of postal services
  - Have a wide network therefore serve wide region
  - Have low charges on its services therefore affordable to many
  - offer variety of services to cater for peoples different needs
  - Are reliable in services, items assured of reaching
  - Safety of goods against loss minimizes losses.

## **SAMPLE PAPER 2**

### **BUSINESS STUDIES PAPER 2**

**562/2**

1. (a) Explain FIVE services offered by commercial banks to business people. (10mks)  
(b) Describe FIVE factors that affect the elasticity of demand.
2. (a) Study the diagram given below which shows equilibrium of a firm and answer the questions that follow.
  - (i) State the market structure represented by the above diagram. [ 1 mk]
  - (ii) With a reason, state whether the firm is operating in the short run or long run. (1mk]
  - (iii) Outline FOUR features of the above market structure. (8mks)(b) Kenya's development plans are praised world wide. Highlight FIVE problems that hinder their implementation. [ 10mks]
3. (a) Explain FIVE ways traders can adopt to prepare goods for sale. [ 1 0mks]  
(b) Explain FIVE benefits that Kenya is likely to get from free trade. [ 10mks )



4. (a) Describe FIVE circumstances under which limited liability companies can be liquidated. [10mks]
- (b) Discuss FIVE insurance policies that a wholesaler in Lodwar town can take. [10mks]
5. (a) Highlight FIVE measures that a government may use to control inflation. (10mks)
- (b) Discuss FIVE causes of under employment in Kenya. [10mks]
6. (a) Explain FIVE circumstances under which one may use signs in communication. [10mks]
- (b) The following information has been extracted from the books of Otieno Traders on 31<sup>st</sup> May, 2006.

|                                    | Shs.    |
|------------------------------------|---------|
| Salaries                           | 15 000  |
| Discount received                  | 16 000  |
| Purchases                          | 195 000 |
| Returns inwards                    | 4 970   |
| Returns outwards                   | 3 000   |
| Sales                              | 268 970 |
| Stock ( 1 <sup>st</sup> June 2005) | 24000   |
| Stock (31 <sup>st</sup> May 2006)  | 46000   |
| Discounts allowed                  | 5 000   |
| Insurance                          | 14000   |
| Commission earned                  | 30 000  |
| General expenses                   | 11 000  |
| Mortgage loan                      | 80 000  |

**Additional information:**

- (i) Interest on mortgage loan 20% p.a.
- (ii) Outstanding salaries Shs. 5 000
- (iii) Prepaid insurance Shs. 4 000

**Prepare:**

A trading profit and loss account for the year ended 31<sup>st</sup> May 2006. [10mks]





## **MARKING SCHEME**

### **SAMPLE PAPER 2**

**565/2**

I. (a) Services offered by Commercial banks to business people.

- Accept deposits and keep money safely i.e. Account services.
- Lending money
- Provides means of payment/ transfer of money e.g. standing orders, cheques, credit cards, etc.



- Making FOREX available to importers
- Collecting money on behalf of clients e.g. rent dividends, etc.
- Provide safe custody for valuables e.g. title deeds, jewellery, certificates, wills, etc.
- Acting as guarantors of referees when looking for credit.

Advantages of hawkers over unit shop traders.

- Hawkers incur less operational expenses e.g. no rent.
- Require less capital to start e.g. Sh. 500.00
- Prices are negotiable i.e. not fixed
- Make on the spot decision/ flexible
- Looks for market every where
- Sell strictly on cash hence no bad debts
- Are more persuasive and convincing

2. Uses of computers in communication.

- Internet: Interconnection of several computers over a wide area facilitating flow of information e.g. E-mail.
- Internet: interconnection of computer within a small geographical location to ease communication in different departments.
- Website: A virtual location in the internet to make information available for prospective buyers.
- Tele-conferencing: Holding conferences through computers as participants are in different geographical areas.

3.

| Internal | External |
|----------|----------|
| (a) ✓    |          |
| (b)      | ✓        |
| (c) ✓    |          |
| (d)      | ✓        |

4. Advantages of endowment policy over whole life policy.

- Period is short
- Assured enjoys the savings a lone
- Sum-assured is payable at intervals which are pre-determined
- It is a saving plan

5. Factors causing supply curve shifting to the right.

- Poor technology
- Increase in cost of production
- Lack of factors of production
- High taxes
- Low subsidies



- Unfavourable climate
- Unfavourable season/ off peak season

6. Relevance of infrastructure in business location.

- To ensure steady supply of goods and services
- To guarantee security
- For quick delivery of goods and services to the market
- For easy/ quick delivery of raw materials
- For easy mobility of workers/ traders
- To reduce transport and communication costs.

7. Advantages of internal memo over letters.

- Brief
- General/ i.e. information is meant for all
- Suitable to pass information between departments
- Cheap

8. Differences between partnership and private limited companies.

**Partnership**

- Formation is easy
- Membership is mainly 2-20
- Not a legal entity
- Activity not restricted
- Capital base is altered ONLY by partners
- Unlimited liabilities
- Any partner can act on behalf of the partnership

**Private Ltd Co.**

- Too involving
- Membership mainly 2-50
- It is a legal entity
- Activity restricted to MOA
- Capital base can only be altered during AGM
- Limited liabilities
- Only authorized directors can act on behalf of Co.

9. Geographical factors hindering mobility of Labour

- Language barrier
- Adverse climatic conditions
- Ignorance
- Social ties to the family and community
- Security
- Political factors
- Government policy e.g. migration rules
- Transport cost

10. Ways in which the government assists in developing entrepreneurial skills.

- Providing grants of cheap credit
- Provision of good infrastructure/ security
- Provision of relevant education and training/ regular workshops



- Protection of local markets/ passing anti-dumping laws
- Lower taxation crucial business
- Supporting local research and innovations/ patenting local technologies
- Signing bilateral and multilateral agreements

#### 11. Sources of public finance.

Fines

Rent and rates

License fees

Dividends and profits from government investments

Taxes

Interests earned on loan advanced by the government

Government borrowing

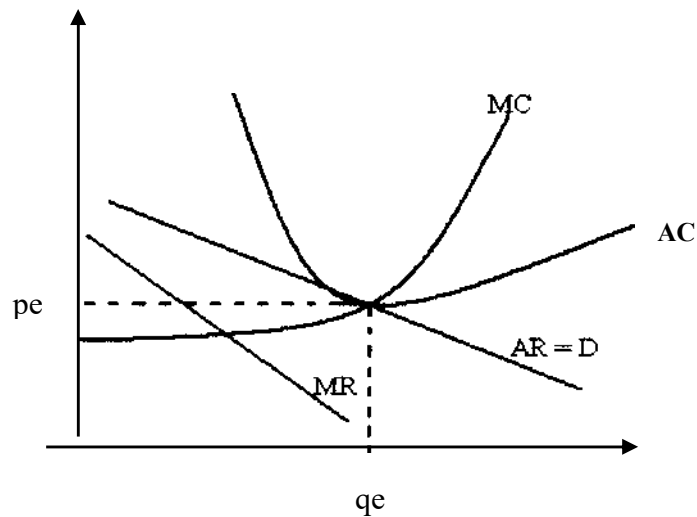
Proceeds from sale of government assets

#### 12. Limitations of billboards

- Expensive
- Speeding motorists may not be able to read them
- Security measures required
- Unsuitable to rural-folk (people)



13..



14. Factors accounting for the under-development of Kenya.

- Inadequate arable land and industrial minerals eg. Iron ore and coal, gold oil etc.
- Limited market due to low savings.
- Unfair world economic order/ trade liberalization that has led to the collapse of local industries.
- Lack of entrepreneurial skills
- Poor government policy/ corruption in high places/ unattractive investment climate.
- Lack of infrastructure which increases production costs.
- Rapid population growth which exerts too much pressure on limited resources

15. Problems encountered in measuring national income.

- Exclusion of all unpaid services e.g. house help, self-employment.
- Subsistence production not accounted for
- Some activities that generate wealth but are considered illegal are excluded eg. Prostitution, illicit brews, drug trafficking, etc.
- Difficult to accurately value stock of inventory
- Inflation can lead to an increase NI i.e. problem of changes in prices.
- Difficult to measure the cost of wear and tear of capital goods i.e. Depreciation.
- Difficult to evaluate the net effect of foreign trade (X-M)



#### 16. Benefits of ATM.

- Fast and efficient
- Provide 24hrs service
- Reduce wage bill
- Top secret is allowed to consumers A/C
- Due to its cheapness it attracts more customers

#### 17. Circumstances under which consignment can be air-lifted.

- If distance involved is great or long.
- Incase goods are required urgently.
- Where the consignment is valuable and needs security
- Where products are perishable
- Where there is no other alternative means

#### 18. Functions of a bill of landing.

- Evidence that goods have been received by the ship owner.
- Evidence that contract has been entered between the ship owner and the shipper.
- Enables the named person therein/ his agent to claim goods when they arrive at the port of distribution.

#### 19. Difficulties faced in the satisfaction of human wants.

- Unlimited wants
- Scarce resources
- Opportunity cost
- Recurrent
- Vary with time, age, gender etc.
- Habitual

#### 20. TERMS

- (a) Departmentalization
- (b) Job specialization
- (c) Delegation
- (d) Co-ordination



21..

|     | ASSETS             | CAPITAL   | LIABILITIES        |
|-----|--------------------|-----------|--------------------|
| (a) | Increase           | Increase  | No effect          |
| (b) | Decrease/ Increase | No effect | No effect          |
| (c) | Decrease           | No effect | Decrease           |
| (d) | No effect          | No effect | Increase/ decrease |

**Pheroze**  
**Statement of affairs**

|                          |         |                          |          |
|--------------------------|---------|--------------------------|----------|
| Premises                 | 250 000 | Creditor                 | 1 56 000 |
| M/ Vehicle               | 120000  | Rates due                | 12000    |
| Stock                    | 49000   | Rent received in advance | 18000    |
| Prepayment (salary) 7000 |         | Expenses owing           | 24000    |
| Debtors                  | 13400   | Capital                  | 267 400  |



21.

**Total debtors control A/C**

| Shs.                |       | Shs.         |       |
|---------------------|-------|--------------|-------|
| Balance b/d         | 12000 | Bad debts    | 2000  |
| Dishonoured cheques | 14000 | Dis. Allowed | 15000 |
|                     |       | Cash         | 45000 |
|                     |       | Ret. Inwards | 3000  |
|                     |       | Balance c/d  | 18000 |

24.

**CASH BOOK**

| Date:- | PARTICULARS | D/A/I | CASH    | BANK    |  | DATH   | PARTICULARS   | S/Rcc | CASH   | BANK   |
|--------|-------------|-------|---------|---------|--|--------|---------------|-------|--------|--------|
| 2006   |             |       |         |         |  |        |               |       |        | 28 800 |
| May 1  | Balance b/f |       | 1 2 000 | 65 000  |  | May 18 | Miami Traders | 1 200 |        |        |
| 12     | Hjore       | 2 000 |         | 48000   |  | 27     | bank "C"      |       | 10000  |        |
| 20     | Sales       |       | 18000   |         |  |        |               |       |        |        |
| 27     | Cash "C"    |       |         | 1 0 000 |  |        |               |       |        |        |
|        |             | 2 000 | 3JLOJQ  | 121000  |  | 21     | Balance c/f   |       | 20 000 | 94 200 |





(b) Factors affecting elasticity of demand.

- The necessity of the commodity
- Ease of substitute
- Durability of commodity
- Habitual commodities
- Consumers' income
- Significance of the commodity on the individual's total expenditure.

2. (a)

(i) Perfect competition

(ii) Short run because it is supernormal profits ie  $AR > AC$

- (iii)
- Large number of buyers and sellers
  - Homogeneous/ uniformity of the products
  - Perfect knowledge of the market
  - Freedom of entry or exit
  - Uniformity of buyers and sellers
  - No government interference
  - No excess supply/ demand
  - Perfect mobility of factors of production
  - No transport costs

(b) Problems hindering implementation of development plans.

- Reliance on donor funding
- Lack of domestic resources
- Local people NOT involved in planning
- Natural calamities
- Inflation
- Over-ambitious plans e.g. Kenya should be industrialized by the year 2010
- Lack of co-operation among the executing parties
- Lack of political will

3. (a) Ways of preparing goods for sale.

- Breaking bulk



- Packing
- Branding
- Sorting
- Grading
- Blending

(b) Benefits of free trade.

- Specialization
- Provision of cheap and quality goods
- Efficient allocation of resources
- International peace and understanding
- Creation of employment
- Living standards are improved
- Leads to industrialization

4. (a) Circumstances under which limited liability companies are liquidated.

- Bankruptcy
- Ultra-vires
- Amalgamation
- Court order
- Decision by share holders
- Completion of intended purpose/ period

(b) Insurance policies.

- Fire insurance policy
- Bad debt policy
- Fidelity guarantee policy
- Comprehensive motor vehicle policy
- Consequential loss policy
- Cash/goods in transit policy
- Public liability policy
- Personal accident policy

5. (a) Measures taken by government to control inflation.



- Tax increase
- Export control
- Import control
- Price control
- Selling treasury bonds
- Increasing bank reserves
- Increasing bank rates
- Import substitution to curb import inflation
- Imposing tariffs
- Imposing import quotas
- Rationing FOREX
- Bureaucratic obstacles

(b) Causes of under-employment in Kenya.

- Poor technology use in Kenya leading to low productivity/ use of poor tools or equipment.
- Low staff motivation
- Lack of alternative jobs where one can be fully utilized
- Overstaffing
- Trade union advocacy to employ more
- Lack of political pressure to create more jobs.

6. (a) Circumstances under which one may use signs in communication.

- When the recipient is deaf
- If communicator is dumb
- Incase communicating a secret message
- Where communicators are far apart but can see each other
- When silence is vital e.g. in hospitals
- Where environment is noisy e.g. in factory



## Otieno Traders

### Trading, profit and loss account

As at 31/5/2006

|                                        | Shs.           |                             | Shs.           |
|----------------------------------------|----------------|-----------------------------|----------------|
| <b>Opening stock</b>                   | <b>24, 000</b> | Salaries                    | 268 970        |
| <b>Add: Purchases</b> 195 000          |                | <b>Less: Return inwards</b> | <b>4 970</b>   |
| Less return out 3 000                  | 192 000        |                             |                |
| Goods available                        | 216 000        |                             |                |
| <b>Less: Closing stock</b>             | <b>46 000</b>  |                             |                |
| Cost of goods sold                     | 170 000        |                             |                |
| Gross profit c/ d                      | 94 000         |                             |                |
|                                        | <u>264 000</u> |                             | <u>264 000</u> |
| <b>Operating expenses</b>              |                | Gross profit b/d            | 94 000         |
| Salaries 15 000                        |                | Add: Discount received      | 16 000         |
| Add: Outstanding 5000                  | 20 000         | Comm. Returned              | 30 000         |
| Disc. Allowed                          | 5 000          |                             |                |
| Insurance 14 000                       |                |                             |                |
| Less: Prepaid 4000                     | 10 000         |                             |                |
| General expenses                       | 11 000         |                             |                |
| Mortgage interest ( 20 / 100 x 80 000) | 16 000         |                             |                |
| Total expenses                         | <u>62 000</u>  |                             |                |
| Net profit c/d                         | <u>78 000</u>  |                             |                |
|                                        | <u>140 000</u> |                             | <u>140 000</u> |



# SAMPLE PAPER 3

## BUSINESS STUDIES PAPER 2

565/2

### BUSINESS STUDIES

1. a) Explain FIVE ways in which central Bank of Kenya regulates the operations of commercial banks in Kenya.

10mks

- b) The table below represents a farmer's supply of cabbages in a local urban center.

| Year | Quantity of cabbages (Tonnes) |
|------|-------------------------------|
| 2001 | 20,000                        |
| 2002 | 15,000                        |
| 2003 | 10,000                        |

Assuming the price remained constant, explain five possible reasons for the trend in the supply of cabbages.

10mks

2. a) Explain FIVE differences between a public corporation and a public limited company.

10mks

- b) The following trial balance was prepared from the books of Triumphant NO-TABLES Enterprises as at 31<sup>st</sup> Dec. 2005.

### Triumphant Notables Enterprises

#### Trial Balance

As at 31<sup>st</sup> Dec. 2005

|                   | Dr      | Cr     |
|-------------------|---------|--------|
| Sales             | 900,000 |        |
| Purchases         | 600,000 |        |
| Returns inwards   | 80,000  |        |
| Returns outwards  |         | 20,000 |
| Carriage inwards  | 40,000  |        |
| Carriage outwards | 3,000   |        |



|                   |           |           |
|-------------------|-----------|-----------|
| Stock (Jan 2005)  | 100,000   |           |
| Rent              |           | 60,000    |
| Delivery van      |           | 180,000   |
| Bank              |           | 60,000    |
| Creditors         |           | 170,000   |
| Debtors           | 120,000   |           |
| Interest Expenses | 18,000    |           |
| General expenses  | 7,000     |           |
| Capital           |           | 178,000   |
|                   | 1,268,000 | 1,268,000 |

Stock on 31 Dec. 2005 was valued at sh. 135,000. Prepare a trading profit and loss accounts for the year ended 31 Dec. 2005.

10mks

3. a) Highlight five reasons why a distributor of consumer goods would prefer to locate his or her warehouse near the consumers.

10mks

- b) Explain five factors that have limited the adoption of containerisation in the transportation of goods.

10mks

4. a) Explain five benefits that accrue to a company by using a prize winning competition to promote its products.

10mks

- b) The following transactions relate to Expert Traders for the month of may 2005.

May 5: Sold goods on credit to Paul sh. 12,000 and Jane sh. 16,000

8: Bought goods on credit from Shah traders sh. 40,000

10: Purchased goods on credit from Grace sh. 34,000 and Peter traders sh.

31,050

16: Goods worth sh. 6,000 were returned to Shah traders and goods worth sh. 3,000 to Grace.

20: Goods sold on credit to Paul sh. 8,000 Tom sh, 11,000 and Joseph sh.

13,000.



26: Goods returned by Betty sh. 2000

Prepare the relevant journals.

10mks

5. (a) The following assets and liabilities relate to Manyonge a trader who does not maintain a complete set of accounts.

|                              |        |
|------------------------------|--------|
| 1998                         | shs.   |
| Outstanding general expenses | 8,250  |
| Creditors                    | 32,000 |
| Debtors                      | 18,000 |

A cashbook summary extracted on the same revealed the following.

**Receipts**

|                |   |           |
|----------------|---|-----------|
| Cash sales     | - | sh 35,000 |
| Purchase       | - | sh.31,200 |
| Paid creditors | - | 54,000    |

At the end of the year, the following information was available:

|                               |             |
|-------------------------------|-------------|
| Discount received amounted to | sh. 7,600   |
| Discount allowed              | shs. 2,500  |
| Creditors                     | sh. 25,000  |
| Debtors                       | shs. 23,000 |
| Outstanding general expenses  | shs 10,700  |

**Prepare:**

- (i) General expenses Account
  - (ii) Total Debtors Account
  - (iii) Total creditors Account.
- (b) Outline six measures that a country may take to reduce unemployment.10mks

6. Country Z is a developing country and it intends to liberalize its economy. Discuss the effects of such a trading policy to the economy of the country.

20mks



## MARKING SCHEME

### SAMPLE PAPER 3

**565/2**

1. Ways in which the central bank of Kenya regulates the operation of commercial bank in Kenya.

a) i) Bank rate

By varying the bank rate, the central bank gives an indication to the commercial banks as to the rates and interests to charge to their customers

ii) Cash or liquidity ratio

By varying the cash or liquidity ratio, the bank may either increase or decrease credit expansion

iii) Special deposits/ compulsory deposits

By calling for special deposits from commercial banks, it reduces the cash base for them, and therefore reduces their ability to lend

iv) Selective credit control/ credit rationing

The central bank can determine the ceiling or priority sectors where the lending has to be channeled

v) Direct supervision/ instruction

The central bank can direct supervision of commercial banks, to ensure that they follow the laid down regulations

vi) Open market operations





The central bank buys and sells treasury bills, to increase or decrease the lending ability of commercial banks

vii) Moral persuasion

Under special circumstances, the central bank may persuade commercial banks to regulate their lending habits

b) Possible reasons for the trend in the supply of cabbages

i) Unfavorable weather, leading to a reduction in the production of cabbages

ii) Increase in the cost of producing cabbages

iii) Application of poor technology in cabbage production

iv) Increased competition from other substitutes to cabbages

v) A shift in the farmer's priority, from cabbage production to other things

vi) Unfavorable government policy, like increase in subsidies or increase in taxation

2. Difference between a public corporation and a public limited company

a) i) A public corporation is formed under an Act of Parliament, while a public limited

company is formed under the company's act

ii) A public corporation is fully owned by the government, while a public limited company is owned by private persons who own shares

iii) A public corporation is initially financed by the state or through state guarantees, while a public limited company is financed through the issue of shares, selling debentures or other loans

iv) A public corporation has its management appointed by the government while in a public limited company, shareholders elect the directors

v) A public corporation is set up to offer essential services to the public, while the public limited company is formed to make profits

vi) Profits made by public corporations go back to the government, while profits made by public limited companies go to the shareholders as dividends



- vii) Public corporation's financial statements are presented in parliament, while public limited companies must publish their financial statements in the press

b)

**Nzwili Traders**  
**Trading, profit and loss account**  
**For the year ended 31<sup>st</sup> Dec 2005**

|                          |         |                             |         |
|--------------------------|---------|-----------------------------|---------|
| Opening stock            |         | Sales                       | 900,000 |
| 100,000                  |         | Less returns in             | 80,000  |
| Purchases                | 600,000 | Net sales                   | 820,000 |
| Less returns out         | 20,000  |                             |         |
| 580,000                  |         |                             |         |
| Add carriage in          | 640,000 |                             |         |
| 40,000                   |         |                             |         |
| Goods available for sale |         |                             |         |
| 720,000                  |         |                             |         |
| Less closing stock       |         | 820,000                     |         |
| 135,000                  |         |                             |         |
| Cost of sales            |         |                             |         |
| 585,000                  |         |                             |         |
| Gross profit c/d         |         |                             |         |
| 235,000                  |         |                             |         |
|                          |         |                             |         |
| 820,000                  |         |                             |         |
|                          |         |                             |         |
|                          |         |                             |         |
| Carriage outwards        | 3,000   | Gross profit <sup>b/d</sup> | 235,000 |
| Rent                     | 60,000  |                             |         |
| Interest expenses        |         |                             |         |
| 18,000                   |         |                             |         |
| General expenses         |         |                             |         |
| 7,000                    |         |                             |         |
| Net profit               |         | 235,000                     |         |
| 147,000                  |         |                             |         |
|                          |         |                             |         |
| 235,000                  |         |                             |         |
|                          |         |                             |         |
|                          |         |                             |         |

3. Reasons why a distributor of consumer goods would prefer to locate her warehouse near the consumer

a) i) **Transport cost**

She may save on transportation, since her vehicle would not have to move over long distances

ii) **Minimal damages**

The possibility of the goods getting damaged is low, since the distance over which the goods are moved is less \*TRZ\*

iii) **Continuous supply**



The distributor is in a better position to ensure the continuous supply of the goods and hence meet the needs of consumers

**iv) More sales/ profit**

The distributor is likely to sell more goods, since the retailers can easily get to her conveniently, and even buy in small quantities that would have been uneconomical to buy from far

**v) Minimal loss**

There is less possibility of loss of goods on transit, since the distance is short

**b) Factors that have limited the adoption of containerization**

**i) Initial cost/ expensive**

The initial cost of acquiring the containers is high

**ii) Volume of business**

This may be too small to warrant such an investment

**iii) Equipment**

The specialized equipment for handling containers is expensive to buy

**iv) Ports**

It requires total re-designing of existing ports which could be quite expensive or the technology may be lacking

**v) Skilled personnel**

The management skills that are required to monitor the system may be lacking, or are expensive to acquire or hire

**4. Benefits of using a prize – winning competition for a company to promote its products**

**a) i) Increased sales**

Many people buy the products, to increase their chances of winning

**ii) Prolonged duration of the competition**

The date of the draw can be postponed to allow for more sales

**iii) Creation of consumer brand loyalty**

People may become used to buying the products during the period of the competition, and are likely to continue buying the products after the competition



**iv) Promoting a company's image**

These competitions tend to help create a good company image

**v) Cost**

It is relatively cheaper to use this kind of promotion compared to others, because of the value of the prizes

**vi) Creation of product awareness**

The competition creates product awareness to potential consumers of the products

**b)**

**Sales journal**

| <b>DATE</b>               | <b>Particulars</b> | <b>Amount</b> |
|---------------------------|--------------------|---------------|
| <b>Date</b>               | Paul               | 12,000        |
| May 5                     | Jane               | 16,000        |
| May 11                    | Paul               | 8,000         |
| May 20                    | Tom                | 11,000        |
| May 11                    | Joseph             | <u>13,000</u> |
| May 11                    |                    | <u>60,000</u> |
| <b>Total to sales a/c</b> |                    |               |

**Purchases journal**

| <b>DATE</b>  | <b>Particulars</b> | <b>Amount</b>  |
|--------------|--------------------|----------------|
| May 8,       |                    |                |
| May 13       | Shah Traders       | 40,000         |
| May 11       | Grace              | 34,000         |
| Total to     | Peter Traders      | <u>31,000</u>  |
| purchase a/c |                    | <u>105,000</u> |

**Sales Returns journal**

| <b>DATE</b> | <b>Particulars</b> | <b>Amount</b> |
|-------------|--------------------|---------------|
|-------------|--------------------|---------------|



|                    |       |                     |
|--------------------|-------|---------------------|
| May 10             |       | 3,000               |
| May 26             | Paul  | <u>2,000</u>        |
| Total to sales a/c | Betty | <u><u>4,000</u></u> |

### Purchases Returns journal

| Date                     | Particulars  | Amount              |
|--------------------------|--------------|---------------------|
| May 16                   | Shah traders | 3,000               |
| May 16                   | Grace        | <u>6,000</u>        |
| Total to purchase<br>a/c |              | <u><u>9,000</u></u> |

5 a)

### General expenses account

|                                     |                                     |                      |
|-------------------------------------|-------------------------------------|----------------------|
| Bank/ cash                          | Balance <sup>b</sup> / <sub>d</sub> | 8,250                |
| 35,000                              |                                     | <u>37,450</u>        |
| Balance <sup>c</sup> / <sub>d</sub> |                                     | <u><u>45,700</u></u> |
| <u>10,700</u>                       |                                     |                      |
| <u>45,700</u>                       |                                     |                      |

### Total debtors account

|                                     |                |          |
|-------------------------------------|----------------|----------|
| Balance <sup>c</sup> / <sub>d</sub> | 18,500         | Bank     |
| Credit sales                        | 140,000        | 138,000  |
|                                     | <u>158,500</u> | Discount |
|                                     |                | 2,500    |



|                                                    |                                                                            |
|----------------------------------------------------|----------------------------------------------------------------------------|
| <b>Total sales</b> = 140,000+31,200<br>=Sh.301,000 | Balance <sup>c</sup> / <sub>d</sub><br><u>23,000</u><br><br><u>158,500</u> |
|----------------------------------------------------|----------------------------------------------------------------------------|

### Total creditors account

|                                                      |               |                                     |
|------------------------------------------------------|---------------|-------------------------------------|
| Bank/ Cash                                           | 54,000        | Balance <sup>b</sup> / <sub>d</sub> |
| Discount received                                    | 7,600         | 32,000                              |
| Balance <sup>c</sup> / <sub>d</sub>                  | <u>25,000</u> | Credit purchases                    |
|                                                      | <u>86,600</u> | 54,600                              |
| <b>Total purchases</b> = 54,600+31,200<br>=Sh.85,600 |               | <u>86,000</u>                       |

- b) Measures that a country may take to reduce unemployment
- i) Increase government expenditure to stimulate aggregate demand, hence the level of production
  - ii) Encourage local private investment to increase productivity
  - iii) Adopt measures that will attract foreign capital into the country so as to create more employment opportunities
  - iv) Find market for locally produced goods through aggressive export promotion in order to expand production capacities of local industries
  - v) Protect local industries from foreign competition, in order to maintain employment levels
  - vi) Diversify the economy



6.a) Positive effects of liberalization

i) Opening up their economies to the global economy has enabled many developing

countries to develop competitive advantage in the manufacturing of certain products

ii) Countries that have opened up their economies experience faster growth and more poverty reduction

iii) In countries where the economy has been opened up, new jobs are created for unskilled workers, rising them into a growing and expanding middle class

iv) Countries with open economies benefit from improved access to other countries markets

v) Countries that liberalize their economies are free to join the world trade organization

b) Negative effects of trade liberalization

i) Local infant industries may suffer and die out from the increased competition from

more established foreign companies

ii) Dumping of goods may be practiced by the developed economies under the guise of free trade

iii) There is a danger of increased dependency on foreign goods, whose supply may be quite uncertain

iv) Liberalization is a one sided game that allows developed countries the unfair advantage of flooding the internal markets of other countries with their finished products



## SAMPLE PAPER 4

### BUSINESS STUDIES PAPER 2

### 565/2

1. (a) Explain four negative effects of economic development (8mks)
- (b) Outline six factors that influence decisions on what goods and services to produce (12mks)
2. (a) Use the demand and supply schedule given below to draw a diagram showing the following
  - (i) Demand and supply curves
  - (ii) Equilibrium quantity, equilibrium price and equilibrium point
  - (iii) Excess demand and excess supply

| Price | Quantity demanded | Quantity supplied |
|-------|-------------------|-------------------|
| 450   | 10                | 70                |
| 400   | 20                | 60                |
| 350   | 30                | 50                |
| 250   | 40                | 40                |
| 150   | 50                | 30                |
| 50    | 60                | 20                |
| 10    | 70                | 10                |

- (b) Explain six functions of micro finance institutions (12mks)
3. (a) Describe five features of perfect competition (10mks)
- (b) Outline five factors that influence the level of national income (10mks)
4. (a) Explain five factors influencing the choice of distribution channel 10mks
- (b) The following transactions were carried out by Kiplangat traders during the month of July 2005.
- July 1: Started a business with Shs. 10,000 in cash





- 2: Opened a bank account for the business by depositing Shs. 20,000 from personal savings
- 10: Bought goods worth Shs. 10,000 and paid by cheque
- 20: Sold goods worth Shs. 20,000 which were paid for in cash
- 26: Paid Shs. 5,000 as salary to a worker by cheque
- 27: Took Shs. 5,000 in cash for personal use

Enter the above transactions in their respective ledger accounts and balance them off

(10mks)

5. (a) Explain six measures to solve unemployment problems in Kenya (12mks)
- (b) The following table shows relationship between output, total cost, marginal cost, the average fixed cost, average variable cost and total cost

| Unit of output | Total fixed cost Shs. | Total variable cost Shs. | Total cost Shs. | Average fixed cost Shs. | Average variable cost Shs. | Marginal costs Shs. |
|----------------|-----------------------|--------------------------|-----------------|-------------------------|----------------------------|---------------------|
| 0              | 100                   | 0                        | -               | -                       | -                          | 0                   |
| 1              | 100                   | 110                      | (a)             | (e)                     | (j)                        | -                   |
| 2              | 100                   | 260                      | (b)             | (g)                     | (k)                        | (m)                 |
| 3              | 100                   | 380                      | (c)             | (h)                     | (l)                        | (n)                 |
| 4              | 100                   | 460                      | (d)             | (i)                     | (m)                        | (o)                 |

Draw a similar table and use the information provided to complete it (8mks)

6. (a) Enter the following transactions in the petty cash book of Maendeleo stores for the month of July 2003 using the following analysis columns

Telephone and postage, office stationary, traveling expenses and office expenses. The business operates the petty cash book on an imprest system of 4000/= replenished on a weekly basis

July 1<sup>st</sup>-Received a cheque from the cashier to start the imprest

July 1<sup>st</sup>-Paid for taxi hire 250/= and 130/= for office cleaning

July 2<sup>nd</sup>-Bought postage stamps for 210/= and a ball of string for use in the office 100/=

July 3<sup>rd</sup>-Postage of a parcel cost 100/= and paid a telephone bill 900/=

July 4<sup>th</sup> Purchased envelopes for 150/= and one ream of photocopying paper 500/=

July 5<sup>th</sup>-Paid for bus fare 500/= and made a telephone call costing 50/=

July 6<sup>th</sup>-purchased a window cleaning cream for 250/= paid bus fare 200/=

July 8<sup>th</sup>-Received a cheque to replenish the imprest

July 8<sup>th</sup>-Bought various office stationary for 400/=

July 9<sup>th</sup>-Purchased postage stamps for 210/= and paid 950/= telephone bill



July 10<sup>th</sup>-paid train fare 600/= and taxi fare 250/=

July 11<sup>th</sup> Paid for office cleaning 150/=

July 12<sup>th</sup>- Purchased two reams of writing paper 600/= and office dusters 300/=

July 14<sup>th</sup> - Obtained a cheque from the cashier to replenish the imprest

### Required

Prepare the petty cash book for the two weeks

8mks)

(b) The following trial balance relates to Leshao traders for the year ended 31<sup>st</sup> January 2005

| PARTICULARS         | DR                    | CR                    |
|---------------------|-----------------------|-----------------------|
| Capital             |                       | 110,000               |
| Land and buildings  | 70,000                |                       |
| Machinery           | 21,600                |                       |
| Furniture           | 20,000                |                       |
| Debtors             | 78,000                |                       |
| Creditors           |                       | 50,000                |
| Opening stock       | 1,100                 |                       |
| Bank                | 60,000                |                       |
| Cash                | 9,000                 |                       |
| Sales               |                       | 15,400                |
| Sales returns       | 400                   |                       |
| Purchases           | 8,000                 |                       |
| Purchases returns   |                       | 1,200                 |
| General expenses    | 1,200                 |                       |
| Carriage inwards    | 400                   |                       |
| Carriage outwards   | 900                   |                       |
| Rent received       |                       | 2,500                 |
| Commission received |                       | 1,000                 |
| Salaries and wages  | 6,000                 |                       |
| Electricity         | 700                   |                       |
| Insurance           | 1,500                 |                       |
| Postage             | 300                   |                       |
| Drawings            | 1000                  |                       |
| Bank loan           |                       | 100,000               |
| <b>Total</b>        | <b><u>280,100</u></b> | <b><u>280,100</u></b> |

**Note:** Closing stock on 31<sup>st</sup> January 2005 was valued at Kshs. 2,500

Prepare

a) Trading, profit and loss account for the year ended 31<sup>st</sup> January 2005 (8mks)

b) Balance sheet as at 31<sup>st</sup> January 2005 (4mks)



## MARKING SCHEME

### SAMPLE PAPER 4

565/2

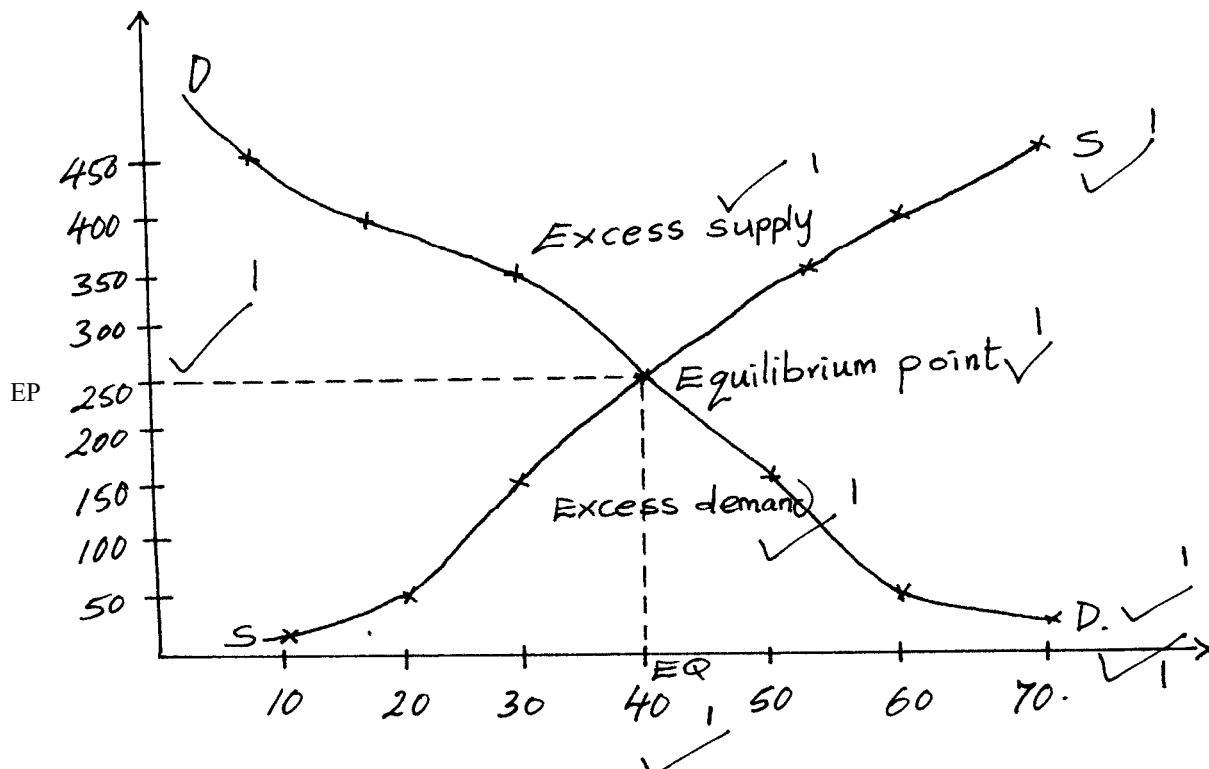
1. a) i) Degradation of the environment  
ii) Overcrowding in slums  
iii) Rendering knowledge and skills obsolete  
iv) Creating social tensions e.g. income inequality, political instability, social habits and beliefs change
- b) i) Demand patterns:- If a commodity has a demand, it will certainly be produced  
ii) Profitability of the venture:- The business can only continue with those products that yield some profits  
iii) Level of competition:- Young firms produce goods whose competition is minimal  
iv) Government policies:- The government encourage or discourage the production of certain goods and services  
v) Economic factors:- e.g. state of inflation, size of national income, income distribution e.t.c.  
vi) Availability of technology:- Appropriate technology determine what goods or services a firm can produce  
vii) Social cultural factors:- These factors have to do with the peoples core beliefs and attitudes  
viii) Availability of factors of production:- e.g. land, capital, labour and entrepreneurship  
ix) Environmental issues:- Production process should not pollute the environment  
x) Cost of production



- xi) Amount and type of capital in the business – financial and physical capital facilitates the production process

*Must be well explained*

2. a)



Equilibrium price = 250

Equilibrium quantity demanded and supplied = 40

Award as follows:-

|                           |      |
|---------------------------|------|
| Equilibrium price (250)   | 1 mk |
| Equilibrium quantity (40) | 1 mk |
| Supply curve              | 1 mk |
| Demand curve              | 1 mk |
| Excess supply             | 1 mk |
| Excess demand             | 1 mk |
| Equilibrium point         | 1 mk |
| Use of correct scale      | 1 mk |

3. a) i) Large number of buyers and sellers



- ii) Homogeneity (Uniformity) of the product
  - iii) Perfect knowledge of the market
  - iv) Freedom of entry or exit
  - v) Uniformity of buyers and sellers
  - vi) No government interference
  - vii) No excess supply or demand
  - viii) Perfect mobility of factors of production
  - ix) No transport costs
  - x) No preferential treatment
3. b)
- i) Size of the working population
  - ii) Innovative and technical knowledge
  - iii) National resources such as gold, oil, fertile soils, power, favourable climate e.t.c.
  - iv) Capital equipment such as computerized machinery and other modern equipments increase output of goods and services
  - v) Political stability flourishes business activities in the country. Promote confidence and encourage production hence high income level
  - vi) Terms of trade i.e. favourable balance of payments (BOP) boosts the national income and vice versa
  - vii) Foreign investments refer to a country's investment in other countries. Those countries with a lot of foreign investment and a lot of investments abroad, are likely to have high national income because of the high net inflows
  - viii) Entrepreneurship – Entrepreneurs have the ability to organize factors of production which have a bearing on the country's national income
4. a) i) **The value and the technical nature of the product:-** Technical and high value goods sell directly to the final consumer
- ii) **Nature of product:-** Perishable commodities are usually sold directly to the consumer or through retailer



- iii) **The intermediaries:** - As different intermediaries perform functions differently, the firm may have to select the channel that would be convenient to it
- iv) **Resources and size of the firm:** - Size of the firm determines the size of its market and the channel to be used
- v) **Competitors:** - Where a firm wishes to have its product compete directly with that of a competitor, it would select a channel that is used by the competitor
- vi) **Government policies:** - The distribution of certain products is controlled by government policies. Where such products are involved, the chain of distribution should be consistent with government policy
- vii) **Geographical distribution of consumers:-** If consumer's are concentrated within a small region, then a shorter chain of distribution would be appropriate
- viii) **Fashion, tastes and preferences:** - If a commodity has a high risk due to changes in fashion, it will need to be sold as fast as possible, thus a shorter chain of distribution

**b) Capital Account**

**Dr**

**Cr**

| DATE             | DETAILS  | F | AMOUNT         | DATE                | DETAILS  | F | AMOUNT         |
|------------------|----------|---|----------------|---------------------|----------|---|----------------|
| 2005             |          |   |                | 2005                |          |   |                |
| Jan              | Bal c /d |   | <u>30000</u> ✓ | Jan 1 <sup>st</sup> | Cash     |   | ✓10000         |
| 31 <sup>st</sup> |          |   |                | Jan 2 <sup>nd</sup> | Bank     |   | ✓ <u>20000</u> |
|                  |          |   | <u>30000</u>   |                     |          |   | <u>30000</u>   |
|                  |          |   |                | Feb 1 <sup>st</sup> | Bal b /d |   | 30000          |

**Dr**

**Cash Account**

**Cr**

| DATE | DETAILS | F | AMOUNT | DATE | DETAILS | F | AMOUNT |
|------|---------|---|--------|------|---------|---|--------|
|------|---------|---|--------|------|---------|---|--------|



|                     |          |  |                |                      |          |  |                |
|---------------------|----------|--|----------------|----------------------|----------|--|----------------|
| 2005                |          |  |                | 2005                 |          |  |                |
| Jan 1 <sup>st</sup> | Capital  |  | 10000✓         | Jan 27 <sup>th</sup> | Drawings |  | ✓5000          |
| Jan                 | Sales    |  | <u>20000</u> ✓ | Jan 31 <sup>st</sup> | Bal c /d |  | ✓ <u>25000</u> |
| 20 <sup>th</sup>    |          |  | <u>30000</u>   |                      |          |  | <u>30000</u>   |
|                     | Bal b /d |  | 25000          |                      |          |  |                |
| Feb 1 <sup>st</sup> |          |  |                |                      |          |  |                |

### Bank Account

**Dr**

**Cr**

| DATE                | DETAILS  | F | AMOUNT         | DATE                 | DETAILS   | F | AMOUNT        |
|---------------------|----------|---|----------------|----------------------|-----------|---|---------------|
| 2005                |          |   |                | 2005                 |           |   |               |
| Jan 2 <sup>nd</sup> | Capital  |   | <u>20000</u> ✓ | Jan 10 <sup>th</sup> | Purchases |   | ✓10000        |
|                     |          |   |                | Jan 26 <sup>th</sup> | Salaries  |   | ✓5000         |
|                     |          |   |                | Jan 31 <sup>st</sup> | Bal b /d  |   | ✓ <u>5000</u> |
|                     |          |   |                |                      |           |   | <u>20000</u>  |
| Feb 1 <sup>st</sup> | Bal b /d |   | <u>20000</u>   |                      |           |   |               |
|                     |          |   | 5000           |                      |           |   |               |

**Dr**

### Purchases Account

**Cr**

| DATE                 | DETAILS  | F | AMOUNT         | DATE                 | DETAILS  | F | AMOUNT         |
|----------------------|----------|---|----------------|----------------------|----------|---|----------------|
| 2005                 |          |   |                | 2005                 |          |   |                |
| Jan 10 <sup>th</sup> | Bank     |   | <u>10000</u> ✓ | Jan 31 <sup>st</sup> | Bal c /d |   | ✓ <u>10000</u> |
|                      |          |   | <u>10000</u>   |                      |          |   |                |
| Feb 1 <sup>st</sup>  | Bal c /d |   | 10000          |                      |          |   | <u>10000</u>   |

**Dr**

### Sales account

**Cr**

| DATE                 | DETAILS  | F | AMOUNT         | DATE                 | DETAILS  | F | AMOUNT         |
|----------------------|----------|---|----------------|----------------------|----------|---|----------------|
| 2005                 |          |   | Shs            | 2005                 |          |   | Shs            |
| Jan 31 <sup>st</sup> | Bal c /d |   | <u>20000</u> ✓ | Jan 20 <sup>th</sup> | Cash     |   | <u>20000</u> ✓ |
|                      |          |   | <u>20000</u>   | Feb 1 <sup>st</sup>  |          |   | <u>20000</u>   |
|                      |          |   |                |                      | Bal c /d |   |                |



|  |  |  |  |  |  |  |       |
|--|--|--|--|--|--|--|-------|
|  |  |  |  |  |  |  | 20000 |
|--|--|--|--|--|--|--|-------|

**Dr** **Salaries account**

**Cr**

| DATE                 | DETAILS  | F | AMOUNT        | DATE                 | DETAILS | F | AMOUNT        |
|----------------------|----------|---|---------------|----------------------|---------|---|---------------|
| 2005                 |          |   |               | 2005                 |         |   |               |
| Jan 26 <sup>th</sup> | Bank     |   | <u>5000</u> ✓ | Jan 31 <sup>st</sup> | Bal c/d |   | <u>5000</u> ✓ |
|                      |          |   | <u>5000</u>   |                      |         |   | <u>5000</u>   |
| Feb 1 <sup>st</sup>  | Bal c /d |   | 5000          |                      |         |   |               |

**Dr** **Drawings account**

**Cr**

| DATE                 | DETAILS  | F | AMOUNT        | DATE                 | DETAILS  | F | AMOUNT        |
|----------------------|----------|---|---------------|----------------------|----------|---|---------------|
| 2005                 |          |   |               | 2005                 |          |   |               |
| Jan 27 <sup>th</sup> | Cash     |   | <u>5000</u> ✓ | Jan 31 <sup>st</sup> | Bal c /d |   | <u>5000</u> ✓ |
|                      |          |   | <u>5000</u>   |                      |          |   | <u>5000</u>   |
| Feb 1 <sup>st</sup>  | Bal c /d |   | 5000          |                      |          |   |               |

5. a) i) Managing population growth  
 ii) Diversification of agriculture and industrial activities  
 iii) Education opportunities e.g. training in different courses  
 iv) Provision of social amenities in rural areas  
 v) Creation of employment opportunities in many sectors  
 vi) Delocalization of industries  
 vii) Use of appropriate technology  
 viii) Use of labour intensive techniques  
 ix) Encouraging employment creation in the private sector





x) Adopting relevant education system as per the labour market e.g. 8.4.4 system

xi) Increasing government expenditure on projects that would create jobs e.g. road and dams construction

xii) Encouraging direct foreign investment

b) a)  $TC = TFC + TVC$   
 $= 100 + 110 = 210 \checkmark$

b)  $TC = TFC + TVC$   
 $= 100 + 260 = 360 \checkmark$

c)  $TC = TFC + TVC$   
 $= 100 + 380 = 480 \checkmark$

d)  $TC = TFC + TVC$   
 $= 100 + 460 = 560 \checkmark$

e)  $AFC = \frac{TFC}{Q}$   
 $\frac{100}{1} = 100 \checkmark$

f)  $AFC = \frac{TFC}{Q}$   
 $\frac{100}{2} = 50 \checkmark$

g)  $AFC = \frac{TFC}{Q}$   
 $= \frac{100}{3} = 33.3 \checkmark$

h)  $AFC = \frac{TFC}{Q}$



$$= \frac{100}{4} = 25 \checkmark$$

$$\begin{aligned} \text{i) } AVC &= \frac{TVC}{Q} \\ &= \frac{110}{1} = 110 \checkmark \end{aligned}$$

$$\begin{aligned} \text{j) } VC &= \frac{TVC}{Q} \\ &= \frac{260}{2} = 130 \checkmark \end{aligned}$$

$$\begin{aligned} \text{k) } AVC &= \frac{TVC}{Q} \\ &= \frac{380}{3} = 126.7 \checkmark \end{aligned}$$

$$\begin{aligned} \text{l) } AVC &= \frac{TVC}{Q} \\ &= \frac{460}{4} = 115 \checkmark \end{aligned}$$

$$\begin{aligned} \text{m) } MC &= \frac{\Delta TC}{\Delta Q} \\ &= \frac{360 - 210}{2 - 1} = \frac{150}{1} = 150 \checkmark \end{aligned}$$

$$\begin{aligned} \text{n) } MC &= \frac{\Delta TC}{\Delta Q} \\ &= \frac{480 - 360}{3 - 2} = \frac{120}{1} = 120 \checkmark \end{aligned}$$



o)  $MC = \frac{\Delta TC}{\Delta Q}$

$$= \frac{560-480}{4-3} = \frac{80}{1} = 80\checkmark$$

6. a) **PETTY CASH BOOK**

**Dr**

**Cr**

| DATE  | PART     | FOLIO | AMOUNT                 | DATE  | PART            | FOLIO | TOTAL       | TEL & POST  | OFF STATION  | TRAVEL EXP   | OFF EXP      |
|-------|----------|-------|------------------------|-------|-----------------|-------|-------------|-------------|--------------|--------------|--------------|
| JUL 1 | Bank     | CB1   | 4000                   | Jul 1 | Tax hire        |       | 250         |             |              | 250✓         |              |
|       |          |       |                        | Jul 1 | Office clean    |       | 130         |             |              |              | 130✓         |
|       |          |       |                        | Jul 2 | Postage stamp   |       | 210         | 210✓        |              |              |              |
|       |          |       |                        | Jul 2 | String          |       | 100         |             |              |              | 100✓         |
|       |          |       |                        | Jul 3 | Parcel          |       | 100         | 100✓        |              |              |              |
|       |          |       |                        | Jul 3 | Telephone bill  |       | 900         | 900✓        |              |              |              |
|       |          |       |                        | Jul 4 | Envelopes       |       | 150         |             | 150✓         |              |              |
|       |          |       |                        | Jul 4 | Photocopy paper |       | 500         |             | <u>500</u> ✓ |              |              |
|       |          |       |                        | Jul 5 | Bus fare        |       | 500         |             |              | <u>500</u> ✓ |              |
|       |          |       |                        | Jul 5 | Telephone call  |       | 50          | <u>50</u> ✓ |              |              |              |
|       |          |       |                        | Jul 6 | Window cream    |       | 250         |             |              |              | <u>250</u> ✓ |
|       |          |       |                        | Jul 6 | Bus fare        |       | 200         |             |              |              |              |
|       |          |       |                        | Jul 7 | Total           |       | 3340✓       | 1260        | 650          | 950          | 480          |
|       |          |       |                        |       | Bal c/ d        |       | <u>660</u>  |             |              |              |              |
|       |          |       |                        |       |                 |       | <u>4000</u> |             |              |              |              |
| Jul 8 | Bal c /d |       | 4000✓<br>660✓<br>3340✓ | Jul 8 | Office station  |       | 400         |             | 400          |              |              |
| Jul 8 | Bank     |       |                        | Jul 9 | Post stamps     |       | 210         | 210         |              |              |              |
|       |          |       |                        | Jul 9 | Telephone bill  |       | 950         | 950         |              |              |              |
|       |          |       |                        | Jul10 | Train fare      |       | 600         |             |              | 600          |              |
|       |          |       |                        | Jul10 | Taxi fare       |       | 250         |             |              | 250          |              |



|  |          |  |      |        |                 |  |             |      |      |     |     |
|--|----------|--|------|--------|-----------------|--|-------------|------|------|-----|-----|
|  |          |  |      | Jul 11 | Office cleaning |  | 150         |      |      |     | 150 |
|  |          |  |      | Jul 12 | Writing paper   |  | 600         |      | 600  |     | 300 |
|  |          |  |      | Jul 12 | Office duster   |  | 300         |      |      |     |     |
|  |          |  |      | Jul 13 | Total           |  | 3460✓       |      |      |     |     |
|  |          |  |      | Jul 13 | Bal c /d        |  | 540         |      |      |     |     |
|  |          |  | 4000 |        |                 |  |             | 1160 | 1000 | 850 | 450 |
|  | Bal b /d |  | 540  |        |                 |  | <u>4000</u> |      |      |     |     |

6. b)

### LESHAO TRADERS

### TRADING, PROFIT AND LOSS ACCOUNT

FOR THE PERIOD ENDED 31<sup>ST</sup> JAN 2005

|                                  |            |                    |   |
|----------------------------------|------------|--------------------|---|
| Shs                              |            | Sales              | ✓ |
| Opening stock                    | ✓          | 15400              |   |
| 1100                             |            | Less sales returns | ✓ |
| Purchases                        | 8000✓      | <u>400</u>         |   |
| Add: carriage inwards            | <u>400</u> |                    | ✓ |
|                                  | 8400       | <u>15000</u>       |   |
| Less: purchases returns          | 1200✓      |                    |   |
| 7200✓                            |            |                    |   |
| Cost of goods available for sale |            |                    |   |
| 8300✓                            |            |                    |   |
| Less closing stock               |            |                    |   |
| <u>2500</u> ✓                    |            |                    |   |



|                    |                       |
|--------------------|-----------------------|
| Cost of goods sold |                       |
| 5800✓              | <u>15000</u>          |
| Gross profit c /d  |                       |
| <u>9200</u> ✓      | Gross profit b /d ✓   |
|                    | 9200                  |
| <u>15000</u>       | Rent received ✓       |
|                    | 2500                  |
| General expenses   | Commission received ✓ |
| 1200✓              | <u>1000</u>           |
| Carriage outwards  |                       |
| 900✓               |                       |
| Salaries and wages |                       |
| 6000✓              |                       |
| Electricity        |                       |
| 700✓               | <u>12700</u>          |
| Insurance          |                       |
| 1500✓              |                       |
| Postage            |                       |
| 300✓               |                       |
| Net profit         |                       |
| <u>2100</u> ✓      |                       |
| <u>12700</u>       |                       |

## LESHAO TRADERS

### BALANCE SHEET

AS AT 31<sup>ST</sup> JAN 2005

|                   |     |     |
|-------------------|-----|-----|
| Fixed assets      | Shs |     |
| Land and building |     | Shs |
| 70000✓            |     |     |



|                |               |                       |
|----------------|---------------|-----------------------|
| Machinery      |               | Capital               |
| 21600✓         |               | 110,000✓              |
| Furniture      |               | Add: net profit       |
| <u>20000</u> ✓ |               | <u>2100</u> ✓         |
| 111,600        |               | 112,100               |
|                |               | Less drawings         |
| Current assets |               | <u>1000</u> ✓         |
| Stock          | 2500✓         |                       |
| Debtors        | 78,000✓       | 111,100               |
| Bank           | 60,000✓       | Long term liabilities |
| Cash           | <u>9000</u> ✓ | Bank loan             |
| <u>149,500</u> |               | 100,000✓              |
|                |               | Current liabilities   |
| <u>261,100</u> |               | Creditors             |
|                |               | <u>50000</u> ✓        |
|                |               |                       |
|                |               | <u>261100</u>         |



# SAMPLE PAPER 5

565/2

## BUSINESS STUDIES PAPER 2

1. (a) Describe five factors that determine price elasticity of demand. (10mks)  
 (b) A farmer in Kitale has maize to transport to Mombasa. He could either use road or railway transport. Explain to him five merits of using road instead of railway to transport the maize. (10mks)
2. (a) From the balances extracted from Malimingi Traders books, you are required to prepare a statement of affairs as at 31/12/2005.

|               | 1/1/2005 | 31/12/2005 |
|---------------|----------|------------|
|               | Ksh      | Ksh        |
| Stock         | 200,000  | 250,000    |
| Debtors       | 40,000   | 50,000     |
| Premises      | 60,000   | 50,000     |
| Creditors     | 70,000   | 40,000     |
| Motor vehicle | 400,000  | 350,000    |
| Net profit    | _____    | 40,000     |
| Drawings      | _____    | 10,000     |
|               |          | (8mks)     |

- (b) Explain five factors that influence the level of the National Income of a country. (10mks)
3. (a) Explain five roles of the central Bank of Kenya to the country. (10mks)  
 (b) From the following account balances extracted from the books of Mwema Traders for the year ended 31<sup>st</sup> Dec. 2005. Prepare a trading and profit / loss accounts.

|       |        |
|-------|--------|
|       | shs    |
| Rates | 50,000 |
| Water | 60,000 |
| Wages | 80,000 |



|                          |           |
|--------------------------|-----------|
| Discount on debtors      | 6,000     |
| Stock 1/1/2005           | 800,000   |
| Stock 31/12/2005         | 40,000    |
| Purchases                | 600,000   |
| Carriage on purchases    | 100,000   |
| Sales during the year    | 2,000,000 |
| Return into the business | 2,000     |
| Commission received      | 4,000     |
| Carriage outwards        | 1,000     |
| General expenses         | 6,000     |
| Repairs to vehicles      | 20,000    |
| Bank loan interest       | 5,000     |

(10mks).

4. (a) Explain five circumstances under which an insurance contract may be terminated.

(10mks)

- (b) Explain five negative consequences of a rapidly increasing population. (10mks)

5. (a) With the aid of diagrams, explain the relationship between the industry's equilibrium and a firm's equilibrium under perfect competition.

(10mks)

- (b) Highlight five points on the importance of a local purchase order. (10mks)

6. (a) Explain any five principles of government expenditures. (10mks)

- (b) The following are transactions of Sukuma Week business for the month of June 2005.

### June

- 1<sup>st</sup> Purchased stock for sh. 84,000 in cash and was given 2% cash discount.
- 2<sup>nd</sup> paid workers' wages by cheque shs. 20,000
- 3<sup>rd</sup> Sold goods worth sh. 240,000 and received cash after allowing 4% cash discount.
- 4<sup>th</sup> Received sh. 400,000 by cheque from a debtor after 2% cash discount allowed.
- 5<sup>th</sup> Bought office furniture for sh. 20,000 in cash.
- 6<sup>th</sup> sold an old business van for sh. 320,000 receiving the money through the bank





- 7<sup>th</sup> Purchased more stocks worth sh.20,000 by cheque.
- 8<sup>th</sup> Withdrew sh. 40,000 from bank to cash till.
- 9<sup>th</sup> Took sh. 80,000 to bank from the business.
- 10<sup>th</sup> Took stock of goods worth sh. 2000 from the business for personal use.
- 11<sup>th</sup> Paid electricity bill worth sh 3750,in cash sh. 2000 and the rest by cheque.
- 12<sup>th</sup> Received a cheque from Mwendwa a debtor worth sh. 60,000 in settlement of his debt  
of sh. 66000.
- 13<sup>th</sup> Was given a loan of sh. 100,000 in cash from his bankers.
- 14<sup>th</sup> Received payment from a debtor Poro sh. 46,000 by cheque.
- 15<sup>th</sup> All the cash at bank was taken to the business for office use except sh. 50,000.

Required: Enter the above transactions in the two-column cash book. (10mks)

## MARKING SCHEME



## SAMPLE PAPER 5

565/2

- 1 a) - **Availability of close substitutes.** If the substitute is available in the relevant price range, quantity demanded will be elastic.
- **The number of users of a commodity.** The greater the number of users of a commodity the greater its elasticity
- **The length of adjustment time.** The longer the time allowed for adjustment in the quantity demanded for a commodity the greater its price elasticity is likely to be.
- **The level of prices.** If the ruling price is at the upper end of the demand curve, quantity demanded is likely to be more elastic than if it was towards the lower end.
- **Proportion of a consumers' income spent on the commodity.** Where the proportion is very small the quantity demanded will be inelastic.
- **The extent in which a product is habit forming.** Incase of addiction, price elasticity of demand is likely to be low.
- b)
- Road is faster than railway which is slower, so he can deliver his goods (maize) in good time to avoid damage.
- If the farmer has small quantity of maize to transport, it could be more convenient to transport by road.
- Road is flexible in that maize can be collected at his door-step or delivered at door step of the same.
- No fixed time or schedule and therefore collection / delivery can be done conveniently to both parties.
- The farmer can consider owning/ hiring his own trucks and Lorries hence he can have more control over transport problems



- Due to fewer time in offloading in road transport chances of loss/damage/pilferage are minimized or cost of handling is minimized.

2 a) i)

**Maji mingi traders**  
**statement of affairs as at 1<sup>st</sup> Jan 2005**

|                            |           |                                              |
|----------------------------|-----------|----------------------------------------------|
| <b><u>Assets</u></b>       |           |                                              |
|                            |           | <b>Capital</b><br><b>630,000_✓1</b><br><br>✓ |
| Stock<br>1/2               | 200,000 ✓ | Creditors<br>70,000 ✓ 1/2                    |
| Debtors<br>✓ 1/2           | 40,000    |                                              |
| Premises<br>1/2            | 60,000✓   |                                              |
| Motor vehicle<br>1/2       | 400,000✓  |                                              |
| <b><u>700,000</u>✓ 1/4</b> |           | <b><u>700,000</u>✓ 1/4</b>                   |

ii)

**Maji mingi traders**  
**statement of affairs as at 1<sup>st</sup> Jan 2005**

|                      |  |
|----------------------|--|
| <b><u>Assets</u></b> |  |
|----------------------|--|



|                |                       |                           |                 |
|----------------|-----------------------|---------------------------|-----------------|
| Stock          | 250,000½              | <b>Capital</b>            | <b>630,000½</b> |
| Debtors        | 50,000½               | <b>Add. N.P</b>           | <b>40,000½</b>  |
| Premises       | 50,000½               | <b>Less drawn</b>         | <b>10,000½</b>  |
| Motor vehicles |                       | <b>Net capital</b>        |                 |
| 350,000½       |                       | <b>660,000½</b>           |                 |
|                |                       | <b>Creditors</b>          |                 |
|                |                       | <b>40,000½</b>            |                 |
|                |                       |                           |                 |
|                | <u><b>700,000</b></u> |                           |                 |
| 1/4            |                       | <u><b>700,000</b></u> 1/4 |                 |

2. b) - Quantity and quality of factors of production

- The quantity and quality of e.g. land ,will determine the quantity and quality of agricultural products hence the size of national income.
- State of technical know how/ technology – A country with poor technology will have low national income.
- Political stability-Essential pre-requisites for maintaining production at the highest level.
- Entrepreneurship- Availability of entrepreneurs who have the ability to organize other factors of production will have a bearing on the country's National income
- Labor supply- Quality and quantity work force in a country. More skilled labor force will produce higher quality goods and services.
- Capital- Amount and quality of available machines will lead to higher national income.

3. a) **Roles of Central Bank**



- It spurs economic growth and development as it ensures commercial banks are well run.
- The central bank stabilizes currency and the economy through imports and export policies
- It ensures smooth operations of the money market by adopting policies which enables people to get short term loans from development.
- It ensures equitable development of the country as it makes finance available or focus on areas that need special attention.
- It regulates and finances banks and other financial institutions. This ensures them needed finance for expansion of economic activities in the country.
- They regulate money supply in the country which is important in ensuring that there is enough finance for investment.

b)

### Mwema Traders

#### Trading Profit/loss✓ accounts

For the year ended 31/12/05

|                             |                         |
|-----------------------------|-------------------------|
| Os<br>800,000✓              | Sales<br>2,000,000✓     |
| Add purchases 600,000✓      | Less SR<br>2000✓        |
| Add C.I 100,000<br>700,000✓ | Net sales<br>1,998,000✓ |
| C GAS<br>1500,000✓          |                         |
| Less c/s<br>40,000✓         |                         |
| Cos<br>1460,000✓            |                         |
| GP c/d<br>5,38,000✓         |                         |
| <u>1,998,000</u>            | <u>1,998,000</u>        |



|                         |                       |
|-------------------------|-----------------------|
| <b><u>Expenses</u></b>  |                       |
| Rates<br>50,000✓        | GP b/d 538,000✓       |
| Water<br>60,000✓        | Comm received 4,000✓  |
| Disc. All<br>6,000✓     |                       |
| Carriage out<br>1,000✓  |                       |
| Gen. exp<br>6,000✓      |                       |
| Repairs<br>20,000✓      |                       |
| Bank loan int<br>5,000✓ |                       |
| NP c/d<br>394,000✓      |                       |
| <b><u>542,000</u></b>   | <b><u>542,000</u></b> |
|                         | N. p b/d 394,000      |
|                         |                       |

- 4a)
- When the insured fails to renew the contract.
  - When the insurance company is finally wound up
  - When the policy matures thus signifying the end of the policy arrangement
  - If the insured decided to discontinue the contract thus stopping to be party to the contact
  - Where the insured ceases to have insurable interest in the property i.e. incase the property is sold



- When the insured has not acted in utmost good faith and is discovered

- When the court of law orders termination of contract thus rendering it null and void

- When the risk insured has occurred and compensation period thus bringing an end to the contract.

b) - **Dependency burden:** When increase of population is caused by new births and

elderly

people living longer, a big proportion of population is to be supported by the few working adults.

- **Low living standards:** The standard of living usually decline because of the level of savings declining.

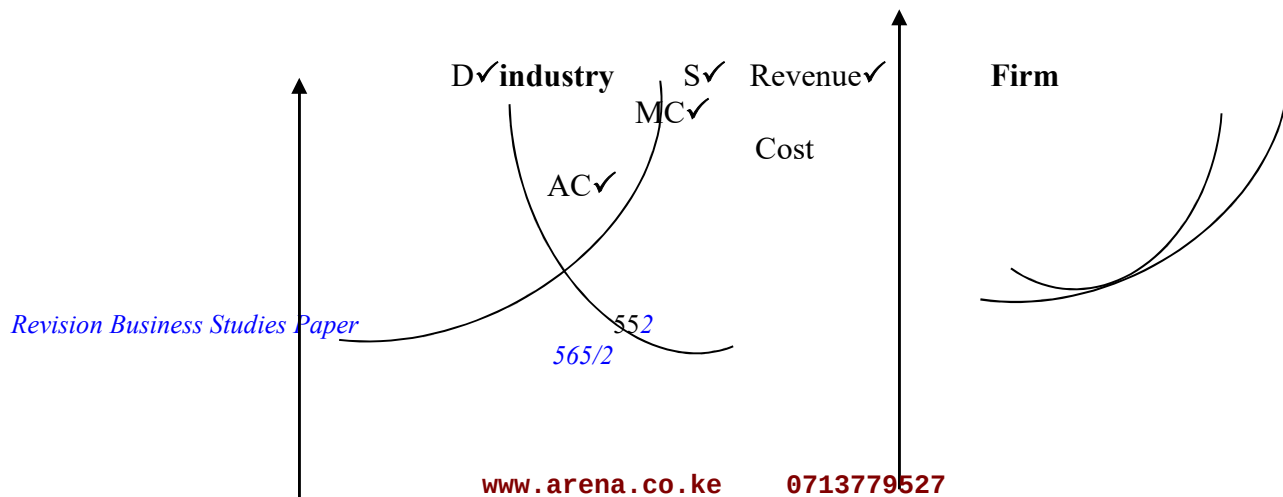
- **Unemployment:** With rapid increase in population, the majority of the people are young and therefore dependants.

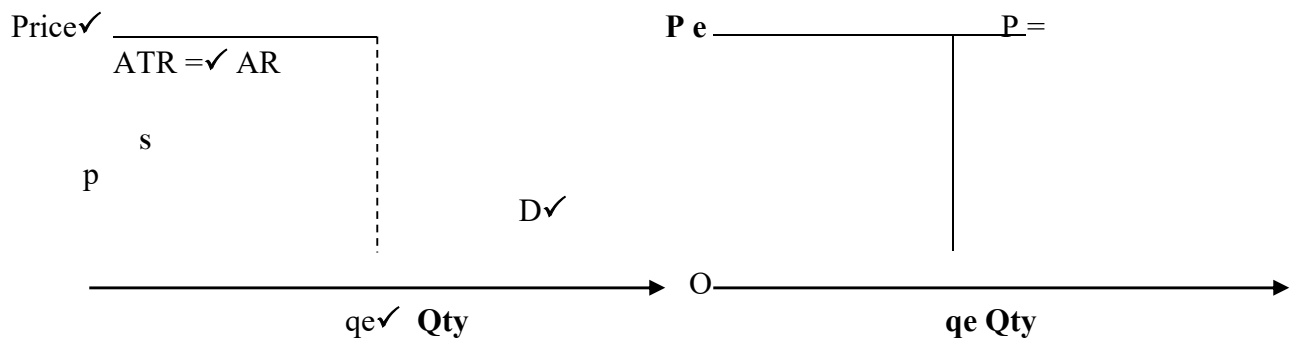
- **Social problems:** Due to overcrowding in the residential areas which is caused by a rapid increase in population, social problems such as housing, pollution, crime e.t.c.

- **Food shortages:** Population increase can outdo the rate of food production.

- **Strain on social amenities:** Rapid population growth creates strain on social facilities e.g. schools, hospitals e.tc.

5. a)





- i) In the industry, the equilibrium price and output are determined by the interaction of the forces of dd and ss (ope and oqe)
- ii) An individual firm in the industry will take the price as given (ope)
- iii) However to determine the equilibrium output, it will equate  $MC=MR=AR$ , hence it will produce  $Oqe$

- 5b)
- LPO is evidence of contract between the seller and the buyer.
  - LPO indicates the quantity of each item required by the buyer.
  - LPO shows cost per item and total value of goods requested by the buyer.
  - LPO assists the buyer to verify the goods delivered.
  - It indicates the terms and conditions of sales arranged between the buyer and the seller.
  - It helps the seller to write the invoice requesting the buyer to pay for the goods.
  - A verbal LPO enables the seller to write both bought and sold notes document to confirm purchase and sale arrangement between seller and buyer.

- 6a)
- **Maximum benefit:** Govt should spend its revenue on projects that benefit many





people in the country.

- **Economical use:** A good public expenditure principle ensures that costs of administration are minimal to the amount of revenue available
- **Elasticity/Flexibility:** Public expenditure should respond readily both upwards and downwards to changes of the economy.
- **Sound proper financial management:** It is achieved by insuring that public accounts are maintained accurately through auditing and proper accountability.
- **Sanctions:** Before public expenditure can be incurred, it must be approved by relevant authority.
- **Budgeted control:** All expenditures should be properly reported with their deficiencies and surplus from budgeted figures.

### Sukuma wiki business

#### Two column cash book for the month of June 2005

b)

| Date             | Details               | Cash     | Bank     | Date             | Details      | Cash                       | Bank            |
|------------------|-----------------------|----------|----------|------------------|--------------|----------------------------|-----------------|
| 2005             |                       |          |          |                  |              |                            |                 |
| June             |                       |          |          |                  |              |                            |                 |
| 3                | Sales                 | 230400✓  |          | 1 <sup>st</sup>  | purchases    | 82320✓                     |                 |
| 4                | Debtor                |          | 400,000✓ | 2 <sup>nd</sup>  | Wages        |                            | 20,000✓         |
| 6 <sup>th</sup>  | Van                   |          | 320,000✓ | 5 <sup>th</sup>  | Furniture    | 20,000✓                    |                 |
| 8 <sup>th</sup>  | Bank(L1)              | 40,000✓  |          | 7 <sup>th</sup>  | purchases    |                            | 20,000✓         |
| 9 <sup>th</sup>  | Cash(L2)              |          | 80,000✓  | 8 <sup>th</sup>  | Cash (l)     |                            | 40,000✓         |
| 12 <sup>th</sup> | Mwedwa                |          | 60,000✓  | 9 <sup>th</sup>  | Bank(c)      | 80,000✓                    |                 |
| 13 <sup>th</sup> | Loan                  | 100,000✓ | 46000✓   | 10 <sup>th</sup> | Drawing<br>/ | 20,000✓                    |                 |
| 14 <sup>th</sup> | Poro                  |          |          | 11 <sup>th</sup> | electricity  | 2000✓                      | 1750✓           |
| 30 <sup>th</sup> | Bank(l <sub>3</sub> ) | 774250✓  |          | 30 <sup>th</sup> | Cash (c)     |                            | 4250✓           |
|                  |                       |          |          | 30 <sup>th</sup> | Bal c/d      | <u>958</u><br><u>330</u> ✓ | <u>50,000</u> ✓ |



|                          |          |                |               |  |  |                |               |
|--------------------------|----------|----------------|---------------|--|--|----------------|---------------|
|                          |          | <u>1144650</u> | <u>906000</u> |  |  | <u>1144650</u> | <u>906000</u> |
| 31 <sup>st</sup><br>July | Bal b/ d | 958330         | <u>50,000</u> |  |  |                |               |

## SAMPLE PAPER 6

### BUSINESS STUDIES PAPER 1



**565 / 2**

1.     a) Discuss FIVE functions of the budget as a planning tool. 10mks  
        b) Explain five adverse effects of a large population on the economic development of a country. 10mks
2.     a) Explain FIVE reasons for trade restrictions. 10mks  
        b) Highlight FIVE differences between a private limited company and public corporation 10mks
3.     a) Explain FIVE uses of national income statistics.  
        b) Discuss FIVE advantages of mobile phones in communication 10mks
4.     a) Describe FIVE steps followed in personal selling. 10mks  
        b) Explain FIVE contributions of appropriate technology to the success of business enterprise. 10mks
5.     a) Discuss FOUR types of marine Insurance. 8mks  
        b) Enter the following information to the relevant books of original and post to the ledger 10mks  
  
        Feb 1 Sales to Ng'eno goods worth shs.4500 invoice no. 458  
        Feb 4 Sales to Njuguna goods worth shs.7,200 invoice no 213  
        Feb 12 Credit sales Ng'eno shs.8,000 invoice no. 469  
        Feb 17 Invoice no.214 to P.K Ndoto shs.9,200  
        Feb 24 Credit note no.102 from J. Ngeno shs.450
6.     a Explain FIVE shortcomings of self employment 8mks  
        b) from the following trial balance of Utumishi enterprises, draw up a trading, profit and loss for the year ended 31<sup>st</sup> December, 2004

**Utumishi**  
**Trial balance**  
**As at 31-12-2004 \*NDI\***



|                  |                             |                             |
|------------------|-----------------------------|-----------------------------|
| General expenses | 41,700                      |                             |
| Opening stock    | 28,000                      |                             |
| Motor expenses   | 51,450                      |                             |
| Salaries         | 249,200                     |                             |
| Insurance        | 27,440                      |                             |
| Purchases        | 1,286,950                   |                             |
| Sales            |                             | 1,877,050                   |
| Motor vehicle    | 196,000                     |                             |
| Creditors        |                             | 361,200                     |
| Debtor           | 286,300                     |                             |
| Premises         | 1,400,000                   |                             |
| Cash at bank     | 96,250                      |                             |
| Cash in hand     | 1,750                       |                             |
| Capital          |                             | 1,704,290                   |
| Drawings         | <u>304,500</u>              | <u>                    </u> |
|                  | 3,942,540                   | 3,942,540                   |
|                  | <u>                    </u> | <u>                    </u> |

Stock on 31<sup>st</sup> Dec. 2004 was valued at sh.40,000

## MARKING SCHEME

### SAMPLE PAPER 6

565 / 2



1. a) Functions of a budget as a tool of planning

- Outlining government expenditure- It details various expenditure programmes & all development programmes
- Outlining government revenue- It details various sources of government revenue
- Enabling the government planning- a budget enables the government to plan various activities & programmes that lead to economic growth & economic development in a country.
- Provides a measure of evaluating projects
- Basic resource allocation function a budget makes it possible to have an overview of choices priority in areas of need
- Stimulating economic activity e.g through deficit budget.
- It is an instrument used by the government to regulate the economic no matter such as price stability & income redistribution
- Stimulates the effort of the people
- Presentation of a case for additional foreign development aid
- Introducing changes in taxation system
- Regulating money supply – so as help in controlling inflation
- Approval mechanism is built in the budgetary process providing a basis for accountability in the use by public funds

- b)
- Negative effects of a large population
  - poor education and training
  - High levels of unemployment
  - Increase in the levels of crime
  - Poor housing
  - Lack of good infrastructure
  - Poor services of delivery
  - Increase in land fragmentation

2. a) Reasons for trade restrictions

- Prevent dumping of goods in the country
- Protect infant industries



- Correct deficit in balance if payment
- Conservation of foreign exchange reserve
- Creation of employment
- Raising government revenue
- Protect strategic industries from competition
- Preserves morals and culture
- Encourage diversification of industries
- For native security.

b) Difference between a private limited company and a public corporation

| <b>Public corporation</b>                                             | <b>Private limited company</b>               |
|-----------------------------------------------------------------------|----------------------------------------------|
| It is formed by an act of parliament                                  | It is formed under the company's act         |
| It is not profit – motivated provides services to the general public. | It is profit motivated                       |
| It is financed by the government                                      | Capital is raised through the sale of shares |
| Board of directors is appointed by the government                     | Directors are elected by shareholders        |
| Losses are subsidized / borne by the government                       | Losses may lead to collapse of business      |
| It is owned by the government                                         | It is owned by shareholders                  |

3. a) Uses of N.I statistics

- Indicators of the standards of living
- To compare the standards of living of different countries
- Assessing the performances of the economy overtime i.e measure economic growth
- Assisting the government in planning the economy i.e making economic policies, preparing national budget and development plans



- N.I statistics provide information on the distribution of income which helps the government to address income disparities.
- N.I statistics provide information on the types of factor incomes within the economy
- N.I statistics assists entrepreneurs to understand market trends and thereby make appropriate investment decisions
- Provides information on the relative sizes of the various sectors & economy and their contribution.

b) Advantages of mobile phones in communication

- It is portable hence convenient
- Has short message services
- Can be used for other purposes e.g. calculator watch e.t.c
- Can be used anywhere where there is network
- Cheap / affordable
- Can be used for storing information.

4.a) Steps involved / procedure of personal selling

A Identifying customers through newspapers

Post records, interviews and meetings

Preparing the presentation – know the product well e.g. quality, quantity ,uses

etc.

B Establishing customer's contract – get the best time when customer may be

receptive

Arousing interest in the product, arouse desire to make a purchase.

C Dealing with objection – handle objection pertaining to price , quality, design,

color etc.

D Closing the sale- ask the prospect to make a firm commitment to purchase the

product.

E After-sales services- sales person should follow up any terms or condition

provided in the order

e.g. delivery dates & installation

4. b) Contributions of appropriate technology to success of business enterprises



- Facilities management control- IT facilities transmission of information which is important in decision making the computers, pages, telephones etc.
- Simplifies business transactions – technology reduces the complexity of many business transactions that would otherwise be time- consuming e.g. ATMs. E-ticketing, etc
- Diversifies the types of goods and services available
- Facilitates the efficiency and effectiveness of business production process / harassed output automation of business operations has resulted in increase levels of output.
- Improves services delivery especially where customers in retail outlets concerned.
- Facilitates control of business operations e.g. automation machines are able to detect deviations in the production process
- Standardization – Products produced by machines are standardized and their quality can be maintained.
- Facilitates mobility within and outside the business premises e.g. of escalators, lifts, vehicles, trains, aircrafts, etc.

5. a) Types of marine insurance

- Hull insurance – is a cover to the body of a ship against loss or damage that may be caused by sea perils.
- Cargo insurance- this provides coverage for goods on transit against loss or damage.
- Freight Insurance – is coverage for transportation services by the shipowner to consignor or consignee who might default in paying such freight charges.
- Shipowner's liability- this type of cover is available to a ship owner in order to insure against claims that might be brought against his / her in case his/ her ship, or the negligence of his / her employees, has caused damage to or loss of other people's property third party insurance.

b)





## Books of Original Entry

### Sales Day book✓

| Date   | Particulars                        | Invoice No. | L.F | Amount          |
|--------|------------------------------------|-------------|-----|-----------------|
| Feb 1  | Ngano                              | 458         |     | 4,500✓          |
| Feb 4  | Njuguna                            | 213         |     | 7,200✓          |
| Feb 12 | Ngeno                              | 469         |     | 8,000✓          |
| Feb 17 | P.K Ndoto                          | 214         |     | 9,200✓          |
|        | Total transferred to Sales Account |             |     | <u>28,900</u> ✓ |

### Sales Returns Journal✓

| Date   | Particulars                                | Credit Note | L.F | Amount       |
|--------|--------------------------------------------|-------------|-----|--------------|
| Feb 24 | Ngeno                                      | 102         |     | 450✓         |
|        | Total transferred to Sales Returns Account |             |     | <u>450</u> ✓ |

### Sales Account✓

| Date | Particulars | Sh. | Date   | Particulars   | Shs.    |
|------|-------------|-----|--------|---------------|---------|
|      |             |     | Feb 28 | Sales journal | 28,900✓ |

### Sales Returns Account✓

| Date   | Particulars           | Sh.  | Date | Particulars | Shs. |
|--------|-----------------------|------|------|-------------|------|
| Feb 28 | Sales Returns Journal | 450✓ |      |             |      |

6.a)

Shortcomings of self- employment

- Possible loss of invested funds
- Long working hours
- Uncertain income
- Routine chores

8 mks

b)

## UTUMISHI ENTERPRISES



**TRADING, PROFIT AND LOSS A/C✓**  
**FOR THE YEAR ENDED 31-12-2004**

|                    |                    |
|--------------------|--------------------|
| Opening stock      | Sales 1,877,050✓   |
| 28,000✓            |                    |
| + purchases        |                    |
| <u>1286,950</u>    |                    |
| G.A.F.S            |                    |
| 1,314,950✓         |                    |
| - Closing stock    | <u>1,877,050</u>   |
| <u>40,000</u> ✓    |                    |
| Cost of sales      |                    |
| 1,274,950          |                    |
| Gross profit       |                    |
| 602,100✓           |                    |
| <u>1877,050</u>    |                    |
| General expenses   |                    |
| 41,700✓            |                    |
| Motor expenses     |                    |
| 51,450             |                    |
| Salaries           |                    |
| 249,200            |                    |
| Insurance          |                    |
| <u>27,440</u>      |                    |
| Total expenses     |                    |
| 369,790✓           |                    |
| Net profit         |                    |
| <u>1,507,260</u> ✓ |                    |
|                    | <u>1,877,050</u> ✓ |
| <u>1,877,050</u> ✓ |                    |



12 mks

**SAMPLE PAPER 7**

**BUSINESS STUDIES PAPER 2**

**565/2**

**Paper 2**

*Revision Business Studies Paper*

672  
565/2



1. (a) Explain six circumstances which may make an insurance company not to compensate the Insured in the event of loss. (12mks)  
(b) Explain four factors that influence the incidence of tax. (8mks)
2. (a) Explain five monetary instruments used by the government to reduce the supply of money in an economy. (10mks)  
(b) Explain five reasons why firms with popular products find it necessary to continually advertise the same products. (10mks)
3. (a) The Kenya shilling has been depreciating in relation to the Sterling pound.  
(i) Define the term depreciation. (2mks)  
(ii) Explain four disadvantages of this process to Kenya's economy. (8mks)  
(b) Explain five assumptions of monopolistic competition. (10mks)
4. (a) Discuss five causes of unemployment in Kenya. (10mks)  
(b) Air transport is popular among businessmen even though it is expensive. Explain five reasons why businessmen opt for air transport. (10mks)
5. (a) Explain five characteristics of under-development. (10mks)  
(b) Explain five advantages that accrue to a country as a result of foreign firms locating their enterprises in the country. (10mks)
6. The following information relates to Soittara Enterprises for the year ending 31<sup>st</sup> December 2005.

|                  | Sh.   |
|------------------|-------|
| Gross profit     | 18000 |
| Transport out    | 3000  |
| Discount allowed | 2000  |
| Rent received    | 5000  |
| Sundry expenses  | 3000  |
| Salaries         | 5000  |
| Insurance        | 2200  |



**Required:**

- a) (i) Prepare the profit and loss account for Soittara Enterprises for the year ending 31<sup>st</sup> December 2005. (5mks)
- (ii) Give the importance of the profit and loss account. (5mks)
- b) Discuss five problems encountered when computing the consumer price index of commodities. (10mks)

**MARKING SCHEME**

**SAMPLE PAPER 7**

**565 / 2**

**Paper 2**

- 1..a) When insured had no insurable c interest in the property destroyed as he will not suffer financial loss / when the property does not belong to him



- ii) When the insured did not disclose all the relevant facts when filling the proposal forms.
- iii) When the property has been destroyed by an act of God.
- v) When the policy was not in force at the time of loss or premium had not been paid
- vi) When the loss occurred due to willful action by the insured i.e. when the insured purposely causes the loss or contributes to the loss.
- vi) When the insurance company is insolvent / bankrupt hence unable to meet its financial obligation
- vii) Late claim where the insured fails to claim within the stipulated period/ time
- vii) Improper procedures where the insured fails to follow the laid down (legal) procedure when claiming.

#### b.i) Price control

Its prices are fixed any tax that is levied on goods and services is borne by the producer. If the prices are not fixed the producer can shift some of the tax burden to the consumer

#### ii) Time

In the short run the producer bears all the tax burden since he fears that an increase in price may lead to a fall in demand. In the long run he can adjust his output and also shift some burden to consumers

#### iii) Nature of tax

All direct taxes are borne by the payer but indirect taxes are shared between producer and consumer

#### iv) Market form / type of market

A monopolist is able to shift the whole burden to consumer because he is the only producer. In perfect competition the producer shares the burden with the consumer



2 a) (i) Open market operations

The Central Bank sells government securities to the public in exchange of money. This reduces money supply in the economy.

(ii) Bank rate

Through the Central Bank, the government authorizes Commercial banks to increase interest rates on loans. This discourages borrowing consequently reducing money supply.

(iii) Special / compulsory deposits

The Central Bank increases Commercial banks deposits. This leaves them with little money to lend.

(iv) Reserve requirement / cash ratio / liquidity ratio

When this is increased by the Central Bank, the Commercial banks are left with little money to lend.

(v) Margin requirement

This is the difference between the total value of security and total amount of loan advanced. The CBK can instruct the Commercial banks to raise this margin to discourage borrowing.

(vi) Selective credit control

The CBK restricts the commercial banks to lend to a few investors, which will reduce money in circulation.

(vii) Moral Suasion / publicity / directives / requests

The CBK may appeal to Commercial banks to exercise caution in their lending activities in order to conform to the prevailing economic situation.



- 2 b) i) To bring to notice new customers on the existence of the product
- II) To increase demand so as to justify mass production that leads to economies of scale
- iii) To educate the consumers on the proper use of the product
- iv) To retain market / consumer loyalty
- v) To cope with competition
- vi) To announce changes / improvements of the product
- vii) To announce new uses of the product
- viii) To create / maintain company image / reputation
- ix) To correct any misleading information about the product
- x) To caution the consumers about imitations
- xi) To remind the consumers about availability of the product

3. a) i) Depreciation is the loss of value of a country's currency against another country's currency

**NB:** Loss of value } must be highlighted in the answer/definition  
Comparative currency }

ii) Disadvantages

- It can be inflationary
- Low export earnings
- Discourages local investors / investments
- It leads to low domestic savings
- Low confidence in the local currency
- Poor / deteriorating terms of trade
- Leads to high cost of Bank credit e.g. interest will rise
- Leads to reduction in the real income
- Standard of living will deteriorate

b) i) Large number of sellers in the market who operate independently

ii) There is product differentiation





- iii) There are no barriers to entry or exit from industry
- iv) Firms set their own prices depending on cost of production and demand for the product in the market
- v) No firm has control over the factors of production
- vi) Firms engage in non-price competition
- vii) They acquire the factors of production at prevailing market conditions

4. a) (i) High population growth rate

- (ii) Low aggregate demand for goods and services
- (iii) Minimum wage laws
- (iv) Shortages of capital
- (v) Inappropriate education system
- (vi) Inappropriate technology

b) (i) When the goods are perishable

- (ii) If the goods are of a high value
- (iii) If the goods are fragile
- (iv) If the goods are required urgently
- (v) If the distance involved is very long
- (vi) When it is the only mode of transport available
- (vii) When the goods require maximum handling

5. a) - Dorminance of MNC's

- Low levels of savings
- High level of dependency
- Inequalities of income and wealth distribution
- Insufficient access to export market
- Mainly a source of raw materials
- Inadequate infrastructure
- Low per capita income
- Deficiency of capital equipment/ resources
- Excessive dependence in agriculture



- Rapid rate of population growth
- Large scale unemployment
- Underutilisation of natural resources
- (Generally foreign trade oriented
- Imbalanced import and export sector
- Low levels of technology and skills
- Inappropriate education system
- Low labour remuneration
- Brain drain

5. b)
- Creation of employment opportunities
  - Acquisition of technology / skills
  - Exploitation of natural resources e.g. Tiomin
  - Improvement of infrastructure
  - Earns revenue to the government through taxation
  - Diversification of the economy
  - Improves the balance of payment position
  - Improves the standards of living via variety of goods produced
  - Provision of market for locally produced goods
  - Provides International relations hence unity

### **SOITTARA ENTERPRISES**

#### **Profit and Loss Account**

For the period endings 31 . 12 . 2005

| <b>Dr</b>        | <b>Cr</b>                |
|------------------|--------------------------|
| <b>Shs</b>       | <b>Shs.</b>              |
| Discount Allowed | Gross Profit / b/d 18000 |
| 2000             | Rent received 5000       |
| Transport out    |                          |
| 3000             |                          |

|                 |              |
|-----------------|--------------|
| Sundry Expenses |              |
| 3000            |              |
| Salaries        |              |
| 5000            |              |
| Insurance       |              |
| 2200            |              |
| Net Profit      |              |
| 7800            |              |
|                 |              |
| <b>23000</b>    | <b>23000</b> |





10mks

- b) Prepare a duly balanced three column cash book from the following information.

Jan 1: Balance b/d cash shs.4,000 bank shs 27,000

“ 4 Settled Olweny creditors account of shs. 8,000 by cheque having deducted 6%

cash discount.

“ 8: Received shs. 6000 cash from Mutoma traders

“ 16: Deposited shs. 4,500 to the bank account

“ 24: Withdrew shs. 9,200 from the bank for private use.

“ 29: Received shs. 19,950 from Kawawa by a cheque after allowing 5% discount.

“ 31: Banked all the cash leaving only sh 1,500 in the office.

10mks

4. a) Explain FIVE methods of trade restriction.

10mks

- b) Highlight FIVE problems encountered when measuring the national income of a country.

10mks

5. a) Discuss FIVE roles played by commercial banks in facilitating home trade.

10mks

- b) The following information relates to the business of Omondi for the week ended 30th May, 2004.

2004

May 25: Started business with shs.24,000

“ 26: Bought goods for shs. 18,000

“ 27: Cash sales shs. 18,900

“ 28: Paid for rent sh. 150 cash

“ 29: Received cash shs. 5625 from sales

“ 30: Paid commission shs. 900

Required:



- (i) Ledger accounts to record the transactions above.
- (ii) Trial balance as at 30<sup>th</sup> May, 2004.

10mks

6. a) Outline FIVE reasons why a business would like to operate its own warehouse.

10mks



- b) The following Trial balance was extracted from the books of Likoni Traders on 31<sup>st</sup> December 2004.

Likoni Traders Trial balance as at 31<sup>st</sup> December, 2004

|                  | Dr             | Cr             |
|------------------|----------------|----------------|
|                  | Shs            | Shs            |
| Purchases        | 70,000         |                |
| Capital          |                | 88,800         |
| Returns inwards  | 1,500          |                |
| General expenses | 5,200          |                |
| Cash in hand     | 2,500          |                |
| Return outwards  |                | 2,400          |
| Bank Overdraft   |                | 7,500          |
| Salaries         | 14,000         |                |
| Debtors          | 10,500         |                |
| Creditors        |                | 8,500          |
| Fixed Assets     | 82,000         |                |
| Sales            |                | <u>95,000</u>  |
| Stock (1:04)     | 12,500         |                |
| Bad debts        | <u>4,000</u>   |                |
|                  | <u>202,200</u> | <u>202,200</u> |

Additional information

Closing stock was valued at shs. 6,500

Salary outstanding was shs. 2,800

Prepare

- Trading, profit and loss account for the period ended 31<sup>st</sup> December, 2004. 6mks
- Balance sheet as at 31<sup>st</sup> December 2004 4mks



# MARKING SCHEME

## SAMPLE PAPER 8

**565/2.**

1. a) i) The size of the market / the extent of market for goods / services . where the demand for the product is small / small market.
  - ii) Nature of the product where the nature of the product dictates the size of market.
  - iii) Simplicity of the organization where the firm intends to take advantage of the market simplicity.
  - iv) Flexibility where the owner of the firm wishes to maintain flexibility so as to take advantage of new opportunities.
  - v) Quick / fast decision making. To avoid delay in decision making.
  - vi) Rising cost of product. Where the cost of production is on the rise too fast.
  - vii) Legal constraint. Where the law restricts the growth of a firm.
  - b) i) Increase in the demand for goods / services without corresponding increase in supply of these goods / services (i.e. demand- pull inflation)
  - (ii) Increase in the cost of factors of production such as labour / raw materials / taxes (i.e. Cost- push inflation)
  - (iii) Increase in the cost of imported finished goods / raw materials (i.e. imported inflation)
  - (iv) Increase in the supply of money and there is no corresponding increase in the output of goods/ services / when there is a lot of money in the economy.
  - (v) Increase in hoarding / black market / smuggling these create artificial shortages of goods  
Which in turn lead to price increases.
2. a) i) It has fixed schedule / timetable, which enable the trader / shipper to plan the transportation.
  - ii) It has fixed fare / rates, which enables the trader to budget his finances well.
  - iii) Its freight charges/ rates are relatively low / cheaper.
  - iv) It can carry bulky / heavy / more goods at a time
  - v) They are more reliable than tramps, making the traders more confident.





- vi) They cover longer distances.
- vii) It provides discounts to its regular users.
- b) i) Taxes / duties levied on imports / exports
  - ii) Fines imposed by courts on offenders
  - iii) Rent / rates paid for the use of govt. property.
  - iv) Licence fees paid by those who want to operate business.
  - v) Dividends / profits earned from govt. investments
  - vi) Proceeds from sale of govt. property
- viii) Interests on loans advanced by the govt. on firms.
- ix) Government internal / external borrowings
- x) Grants / Aids received by the government.

3. a)
- i) Improved level of literacy
  - ii) Improved / increased standards of living
  - iii) Improved infrastructure.
  - iv) Improved methods of production
  - v) Improved health care
  - vi) Reduced infant mortality rates
  - vii) Increase life expectancy
  - viii) Reduced inequalities in income distribution
  - ix) Change in people's attitude, making them more receptive to changes.

b) **Three column cash book**

| Date      | Particulars    | Folio | Disc | Cash   | Bank    | Date      | Particulars | Folio | Disc. | cash       | Bank        |
|-----------|----------------|-------|------|--------|---------|-----------|-------------|-------|-------|------------|-------------|
| Jan<br>1  | Balance<br>b/d |       |      | 4,000✓ | 27,000✓ | Jan<br>4  | Olweny T    |       | 480✓  |            | 7,520<br>✓  |
| Jan<br>8  | Mutoma         |       |      | 6,000✓ |         | Jan<br>16 | Bank        |       |       | 4,500<br>✓ |             |
| Jan<br>16 | Cash           |       |      |        | 4,500✓  | Jan<br>24 | Drawing     |       |       |            | 9,200<br>✓  |
| Jan<br>29 | Kawawa         |       | 1050 |        | 19,950✓ | Jan<br>31 | Bank        | C     |       | 4,000<br>✓ |             |
| Jan<br>31 | Cash           | c     |      |        | 4000✓   |           | Bal. c/d    |       |       | 1,500<br>✓ | 38,730<br>✓ |



|  |          |  |              |               |               |  |  |  |             |               |               |
|--|----------|--|--------------|---------------|---------------|--|--|--|-------------|---------------|---------------|
|  |          |  | <u>1050✓</u> | <u>10,000</u> | <u>55,450</u> |  |  |  | <u>480✓</u> | <u>10,000</u> | <u>55,450</u> |
|  | Bal. b/d |  |              | 1,500✓        | 38,730        |  |  |  |             |               |               |

N/B particulars should be correctly recorded.

- 4 a) i) Imposition of tariff barriers  
 ii) Use of government subsidies  
 iii) Control of foreign exchange  
 iv) The use of quota system to control imports  
 v) The application of strict product standards regulations  
 vi) The application of total ban to control the importation of certain products  
 vii) Enacting legislation to restrict trade  
 viii) The creation of lengthy procedures to discourage importers.
- b) i) It is not easy to estimate the amount of depreciation  
 ii) It is not easy to estimate the value of the subsistence output since they are not exchanged .  
 iii) Double counting may occur when using either income or output approaches.  
 iv) Individuals / firms may not give complete / accurate data  
 v) There may be change in the value of money during inflationary times  
 vi) There arises a problem of what to include in the national income statistics
5. a) i) Lending in terms of direct loans / overdrafts / discounting bills of exchange.  
 ii) Transfer of money in terms of cheques / standing orders / credit transfers/  
 telegraphic transfers etc.  
 iii) Collecting money on behalf of traders  
 iv) Remitting money on behalf of traders  
 v) Providing custody of valuable documents of traders  
 vi) Selling shares on behalf of business  
 vii) Providing useful business advice / investment advice to their customers / traders  
 viii) Acting as referee on behalf of business.  
 ix) Providing night-safe services / facilities  
 x) Acting as guarantors for traders  
 xi) Sells foreign currency to traders engaged in foreign trade.

5.b) **Dr.****Capital Account****Cr.**

|                 |         |      |                                 |
|-----------------|---------|------|---------------------------------|
| 2004<br>24,000. | Bal c/d | 2004 | Cash <u>24,000</u> ✓            |
| <u>24,000</u>   | _____   |      | <u>24,000</u><br>Bal. b/d _____ |

**Dr.****Cash Account****Cr.**

|                           |               |                   |               |
|---------------------------|---------------|-------------------|---------------|
| 2004                      |               | 2004              | Shs.          |
| May 25 Capital<br>24,000✓ |               | May 26 Purchases  | 18,000✓       |
| May 27 sales<br>18,900✓   |               | May 28 Rent       | 150✓          |
| May 29 sales              | 5,625✓        | May 30 commission | 900✓          |
|                           |               | May 31 bal c/d    | 29,475        |
|                           | <u>48,525</u> |                   | <u>48,525</u> |
| Bal. b /d                 | 29,475        |                   |               |

) **Dr.****Purchase Account****Cr.**

|                  |               |                           |
|------------------|---------------|---------------------------|
| 2004             | Shs.          | 2004 shs.                 |
| May 26 cash<br>✓ | <u>18,000</u> | Bal. c/d<br><u>18,000</u> |
| Bal. b/d         | 18,000        |                           |

**Dr.****Sales Account****Cr.**

|               |      |             |        |
|---------------|------|-------------|--------|
| 2004          | Shs. | 2004        | shs.   |
| Bal c/d       |      | May 27 cash | 18,900 |
| <u>24,525</u> |      | ✓           |        |



|               |                       |
|---------------|-----------------------|
|               | May 29 cash 5625<br>✓ |
| <u>24,525</u> | <u>24,525</u>         |
|               | Bal b/d 24,525        |

**Dr. Rent Account Cr.**

|                           |              |
|---------------------------|--------------|
| 2004 shs.                 | 2004 Shs.    |
| May 30 cash 900<br>✓<br>— | Bal. c/d 900 |
| Bal. b/d 900              |              |

**Dr. Commission Account Cr.**

|                                      |              |
|--------------------------------------|--------------|
| 2004 shs.                            | 2004 Shs.    |
| May 30 cash 900<br>✓<br>Bal. b/d 900 | Bal. c/d 900 |

**Omondi**

**Trial Balance**

**As at 30<sup>th</sup> May 2004**

**Dr. Cr.**

|            |                |               |
|------------|----------------|---------------|
| Capital    |                | 24,000✓       |
| Cash       | 29,475✓        |               |
| Purchases  | 18,000✓        |               |
| Sales      |                | 24,525        |
| Rent       | 150✓           |               |
| Commission | 900✓           | —             |
|            | <u>48,525✓</u> | <u>48,525</u> |



- 6a). i) To cut down / reduce cost of living space in other warehouses.
- ii) To exert control over its warehouses / stock
- iii) To enable it store special goods
- iv) To avoid delay in the clearance / release of goods from the hired warehouse
- v) To avoid extra charges levied by the hired warehouse.
- vi) To enable it prepare its goods to meet the required standards
- vii) To accommodate more goods in the warehouse
- viii) To bring in special equipment for handling / accommodate its goods/ stock

b) **Likoni Traders**  
**Trading, profit and loss account**  
**For the period ended 31<sup>st</sup> December, 2004**

|                         | Shs           |                      | Shs     |
|-------------------------|---------------|----------------------|---------|
| Opening stock           |               | Sales                | 95,000✓ |
| 12,500✓                 |               |                      |         |
| Add purchases           | 70,000✓       | Less returns inwards | 1,500✓  |
| Less returns outwards   | 2,400 ✓       |                      |         |
| 67,600                  |               |                      |         |
| Cost of goods available | 80,100        |                      |         |
| Less closing stock      |               |                      |         |
| 6,500✓                  |               |                      |         |
| Cost of sales           |               |                      |         |
| 73,600                  |               |                      |         |
| Add G. profit c/d       | 19,900 ✓      |                      | 93,500  |
|                         | <u>93,500</u> |                      |         |
|                         |               |                      |         |
| <b>Expenses:</b>        |               | Gross profit b/d     | 19,900  |
| General expenses        |               |                      |         |
| 5,200✓                  |               |                      |         |
| Salaries                |               | Net loss             | 6,100✓  |
| 14,000✓                 |               |                      |         |
| Add outstanding salary  | 2,800✓        |                      |         |



|           |               |               |
|-----------|---------------|---------------|
| Bad debts | 4,000✓        |               |
|           | <u>26,000</u> | <u>26,000</u> |

### Likoni Traders

#### Balance sheet

As at 31<sup>st</sup> December, 2004

|                              | Shs.    |                                   | Shs     |
|------------------------------|---------|-----------------------------------|---------|
| Assets                       |         | Capital                           | 88,800  |
| Fixed Assets                 | 82,000  | <u>Less</u> net loss              | 6,100   |
| <b><u>Current Assets</u></b> |         |                                   | 82,700✓ |
| Cash in hand                 | 2,500✓  | <b><u>Current liabilities</u></b> |         |
| Debtors                      | 10,500✓ | Bank Overdraft                    | 7,500✓  |
| Stock                        | 6,500✓  | Creditors                         | 8,500✓  |
|                              |         | Salary outstanding                | 2,800✓  |
|                              | 101,500 |                                   | 101,500 |



## SAMPLE PAPER 9

## BUSINESS STUDIES PAPER 2

**565 / 2**

1. a) Artur is an importer of an assortment of goods from different countries.  
Explain five benefits he may enjoy while his goods are stored in a bonded warehouse.  
  
10mks  
b) Explain five principles of taxation. 10mks
2. a) Explain five reasons to justify the use of economic barriers to control free trade.  
10mks  
b) Explain five emerging trends related to product promotion. 10mks
3. a) By use of a well labelled diagram, explain the case of a firm earning above normal profits in a perfectly competitive market structure. 8mks  
b) Explain six demerits of inflation to a developing country. 12mks
4. a) Explain five ways in which the central bank of Kenya regulates the operations of banks in Kenya. 10mks  
b) Explain five factors which are likely to influence the level of national income in Kenya. 10mks
5. a) Explain four challenges facing the transport industry in Kenya today. 8mks  
b) Enter the following transactions in the purchases Journal of silver springs Agroviet and post to the ledger for the month of October 2004



October 1<sup>st</sup> : Purchased a stock of 100 bags of Maclick at sh. 1200 per bag on credit from

Muraya Traders; Invoice no.100.

4<sup>th</sup> :Purchased on credit from Unga feeds 50 bags of bran animal feed at sh. 2000

per bag; Invoice no 115. A trade discount of 15% was allowed.

11<sup>th</sup> : Purchased 70 packets of Ridomil on credit from Alpha Ltd at sh. 300 per packet. A trade discount of 10% was allowed; Invoice no.169.

24<sup>th</sup> : Bought on credit 30 bags of layers marsh at sh. 4000 each from Chick point at

a trade discount of 20%; Invoice no. 132. 12mks

6. a) The following trial balance was extracted from the books of Kitika traders as at 30/06/2005.

KITIKA TRADERS  
TRIAL BALANCE  
AS AT 30/06/2005

|                                    | DR (SHS) | CR(SHS) |
|------------------------------------|----------|---------|
| Sales                              |          | 900,000 |
| Purchases                          | 600,000  |         |
| Return inwards                     | 80,000   |         |
| Return outwards                    |          | 20,000  |
| Carriage inwards                   | 40,000   |         |
| Carriage outwards                  | 3,000    |         |
| Stock (1 <sup>st</sup> July, 2004) | 100,000  |         |
| Rent                               | 60,000   |         |
| Delivery van                       | 180,000  |         |
| Bank                               | 60,000   |         |
| Creditors                          |          | 170,000 |
| Debtors                            | 120,000  |         |
| Discount allowed                   | 18,000   |         |
| General expenses                   | 7,000    |         |
| capital                            |          | 178,000 |





|  |           |           |
|--|-----------|-----------|
|  | 1,268,000 | 1,268,000 |
|--|-----------|-----------|

Additional information

(i) Stock on 30/06/05 was valued at shs 135,000

(ii) Outstanding Rent shs 7000

Required

Prepare the profit and loss account for the year ended 30/06/2005 and the balance sheet

12mks

- b) Perth a management consultancy firm has adviced Ponda Mali Company Ltd. to adopt a comprehensive code of conduct. Explain four significances of this on Ponda Mali Company Ltd. 8mks



## MARKING SCHEME

### SAMPLE PAPER 9

565 / 2

### BUSINESS STUDIES

1.a) Benefits of a bonded warehouse to an importer.

- Goods can be prepared for sale while in storage
- Owner can look for market while the goods are still in storage
- Some goods lose weight while in the warehouse so the duty to be paid becomes lower if it is based on weight.
- Burden to pay duty passes on to the buyer if the goods are sold while still on bond.
- The importer is allowed time to make arrangements for payment of customs duty
- Security is provided for goods so the importer is relieved of the task of providing the same
- Some goods improve in quality while in the warehouse e.g. Tobacco, wine etc.

*Any five well explained points x 2Total*

*(10mks)*

b) Principles of taxation

- Equitable
- Certain
- Convenient
- Economic
- Elastic
- Flexible



- Diversified

*Any five well explained points x 2Total*

*(10mks)*

2.a) Reasons to justify the use of barriers to control free trade ( 10mks)

- i) To correct balance of payments deficit; When a country is facing B.O.P disequilibrium the government may introduce measure such as duties, Quotas, or high tariffs to discourage importation of goods
- ii) To protect domestic / infant industries; newly established local industries need to be given time to grow and countries may impose restrictions to give this industries an opportunity to establish themselves before they compete at international level
- iii) To discourage dumping; Dumping has the effect of suppressing small industries due to unfair competition as consumer prefer to buy the cheap goods. Most countries impose high tariffs to discourage dumping.
- iv) To raise government revenue; Tariffs may be used by the government to raise income especially when imposed on essential commodities whose demand is fairly inelastic . Importers will continue buying the goods despite the higher prices/ tariff rate.
- v) To create employment ; Tariffs imposed on imported goods make them more expensive and may trigger demand for domestic goods this tends to encourage local investment more economic activity thus creating. Employment opportunities in the country.
- vi) To expand the domestic market; trade barriers may be used to encourage the consumption of locally produced goods and thus expand the market for domestic products due to an increase in demand.
- vii) To stimulate investment; protective measures may be adopted by a country to turn round the economy in times of recession / depression in an effort to achieve economic recovery.
- viii) To protect socio- cultural values; A ban may be imposed on foreign goods such as porn films and illicit drugs that tends to compromise the Health, culture and moral values of a country
- ix) To protect strategic industries e.g. Agricultural sector.
- x) To encourage industrial diversification and reduce overdependence



- xi) To ensure national security ; the government may protect some industries e.g. those that extend provision to security force.
- xii) To preserve balance of trade and foreign exchange reserves. **Any 5 points x2 =(10mks**

2.b) Emerging issues in product promotion;

(10mks)

- i) There is very stiff competition among sellers of similar products e.g mobile phone services providers.
- ii) Modern technology e.g the use of internet and networking has revolutionised the methods of product promotion
- (iii) Consumer awareness has greatly increased and product promotion has become more accurate truthful and ethical
- (iv) Many business are seeking publicity in the media e.g T.V and Newspapers
- (v) Many business organizations have embraced public relations as a tool of product promotion
- (vi) Exhibition and trade fairs have widely been used as ways of product promotion
- (vii) More emphasis has been put in the use of posters, billboards and brochures as a way of product promotion because of increased literacy
- (viii) There has been increased use of the electronic media – ie. Radio and T. V especially in advertising

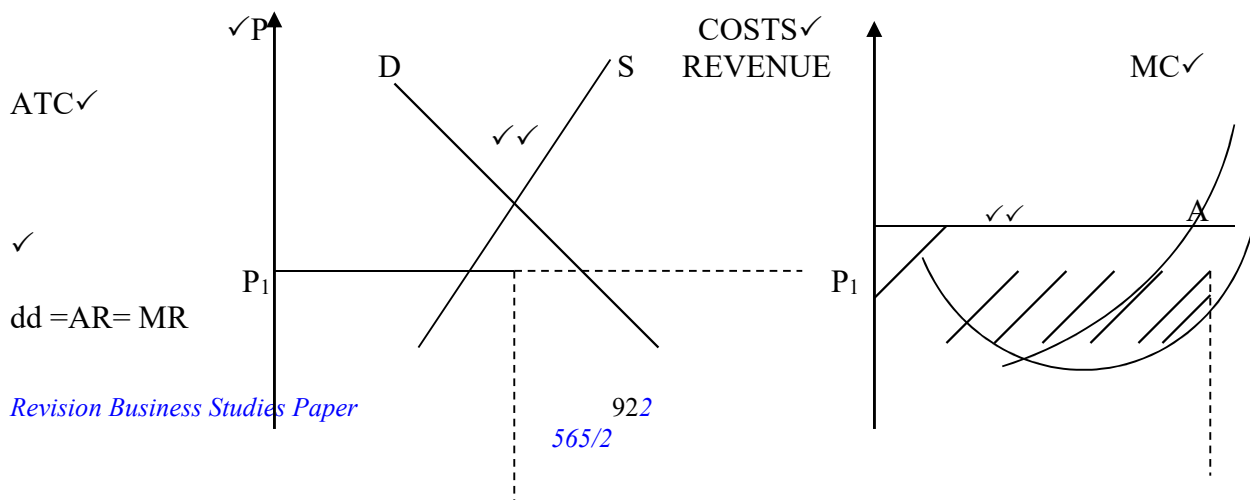
**Any 5 points**

**x 2 = 10mks**

- 3.a) - Firms are price takers✓  
 - Equilibrium price is determine by the interaction of the demand and supply

curves

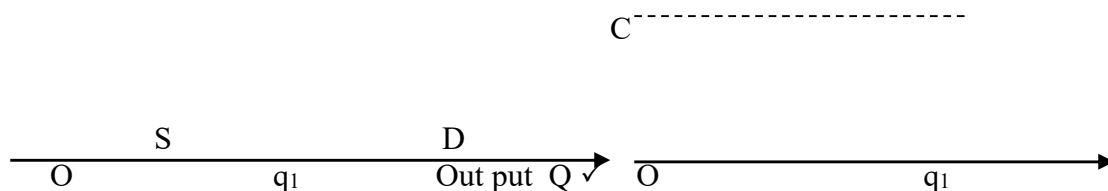
- $P = \frac{TR}{q} = AR$ ✓
- $MR = AR = MR$ ✓





B

Q✓



A) INDUSTRY

B) FIRM

CBAP<sub>1</sub> – Above normal profits✓

( $\frac{1}{2} \times 16$  ticks =  
8mks)

3.b) Demerits of inflation to a developing country

- Wastage of time
- Increase in wages and salaries
- Reduction in profits
- Decline in standards of living
- Loss to creditors
- Retardation in economic growth
- Adverse effects on balance of payments
- Loss of confidence in the monetary system. *Any 6 points well explained x*

2.TOTAL

(12mks)

4.a) Ways through which the central bank regulates commercial banks

- i) Bank rate
- ii) Cash or liquidity ratio
- iii) Special deposits / compulsory deposits
- iv) Selective credit control / credit rationing
- v) Moral persuasion

vi) Open market operations

vii) Direct supervision / instruction *Any 5 points well explained x 2 TOTAL*

(10mks)

b) Factors which influence the level of a country's national income.



- i) **Labour supply**;- Quantity and quality of the labour force . more people are expected to generate higher income, similarly, more skilled labour force is expected to generate more income and vice versa.
- ii) **Capital**- With more capital resources especially of high quality, a country is expected to generate more income. Kenya & other LDC's sufficient capital
- iii) **Entrepreneurship**- If more citizens are willing to venture into production, the country's national income will be affected positively.
- iv) **Land**- Includes all natural resources and hence forms a basis for production. With enough natural resource endowment, a country can generate higher incomes.
- v) **Level of technology**- Higher of more advanced techniques in production translate into higher output hence a higher national income.
- vi) **Political stability**- a country at peace can always attract both local and foreign investment .The investors contribute in the generation of national income.

*(Mention – 1mk Explanation – 1mk Any 5 five points well explained – 10mks)*

5.a) Challenges facing the transport industry  
(8mks)

- i) Congestion and traffic jams;- Result from narrow roads and poor planning causes delays and waste of time.
- ii) Poor and delapidated roads;- Some roads are in a state of disrepair while most in rural areas are impassable during the rainy season. This increases the cost of transport to cater for increases wear and tear.
- iii) Road carnage and highway robbery have led to loss of life and property / goods.
- iv) Pipeline leakages / spills and damage by saboteurs has led to losses, high monitoring costs and environmental pollution.
- v) The collapse of Kenya railways due to mismanagement has led the discontinuation of up- country commuter trains and inconveniencing passenger transport
- vi) Strikes in almost all sectors e.g. Kenya railways, matatu's aviation and the dock workers have led to inefficiency in the industry.



- vii) Inadequate handling facilities at ports unclaimed goods and slow transit inland have led to congestion at ports.
- viii) Exorbitant landing fees and inappropriate run-ways have limited the maximum utilization of Kenyas airports e.g. Eldoret.
- ix) Motor vehicle emissions and matatu noisy operations cause air and noise pollution

*Any 4 points x 2 =( 8mks)*

b)i)

### PURCHASES JOURNAL (PJ)

| DATE      | DETAILS             | INVOICE NO. | FOLIO | AMOUNT (shs)    | TOTAL (Shs)       |
|-----------|---------------------|-------------|-------|-----------------|-------------------|
| 2004      |                     |             |       |                 |                   |
| October 1 | Muraya traders      | 100         | PL1   |                 | 120,000✓          |
| 4         | Unga feeds          | 115         | PL2   | 100,000✓        |                   |
|           | less trade discount |             |       | <u>15,000</u> ✓ | 85,000✓           |
| 11        | Alpha ltd           | 169         | PL3   | 21,000✓         |                   |
|           | less trade discount |             |       | <u>2100</u> ✓   | 18,900✓           |
| 24        | Chick point         | 312         | PL4   | 120,000✓        |                   |
|           | Less trade discount |             |       | <u>24,000</u> ✓ | <u>96,000</u> ✓   |
| 31        | Dr. to purchase A/C |             | GL    |                 | <u>319,900</u> ✓✓ |

14 TICKS X ½ = 7

MKS

ii)

### PURCHASES LEDGER (GL)

| DATE   | DETAILS         | FOLIO  | Amount (shs) | DATE  | DETAILS               | FOLIO | Amount (shs) |
|--------|-----------------|--------|--------------|-------|-----------------------|-------|--------------|
| 2004   | Total creditors | PJ     | 319,000✓     |       |                       |       |              |
| Oct 31 |                 | MURAYA |              |       | TRADERS (PL1)         |       |              |
|        |                 | UNGA   |              | 2004  |                       | PJ    | 120,000✓     |
|        |                 |        |              | OCT 1 | PURCHASES FEEDS (PL2) |       |              |
|        |                 | ALPHA  |              | OCT 4 | PURCHASES LTD (PL3)   | PJ    | 85,000✓      |



|  |  |       |  |                                 |    |         |
|--|--|-------|--|---------------------------------|----|---------|
|  |  | CHICK |  | OCT 11 PURCHASES<br>POINT (PL4) | PJ | 18,900✓ |
|  |  |       |  | OCT 24 PURCHASES                | PJ | 96,000✓ |

5 ticks x 1 =

(5mks)

a) i)

**KITIKA TRADERS**  
**PROFIT AND LOSS ACCOUNT**  
**FOR THE YEAR ENDED 30 / 06 / 2005**

| SHS                                   | SHS                 |
|---------------------------------------|---------------------|
| <b>SHS</b>                            | <b>SHS</b>          |
| Opening stock                         | Sales               |
| 100,000✓                              | 900,000✓            |
| Purchase 600,000✓                     | Less Return Inwards |
| Add carriage inwards <u>40,000</u> ✓  | <u>80,000</u> ✓     |
| 640,000                               | Net sales           |
|                                       | 820,000             |
| Less Returns outwards <u>20,000</u> ✓ |                     |
| <u>620,000</u>                        |                     |
| Goods available for sale              |                     |
| 720,000✓                              |                     |
| Less closing stock                    |                     |
| <u>135,000</u> ✓                      |                     |
| Cost of sales                         |                     |
| 585,000                               |                     |
| Gross profit c/d                      | <u>820,000</u> ✓    |
| <u>235,000</u> ✓                      |                     |





|                         |                |                             |  |
|-------------------------|----------------|-----------------------------|--|
| <u>820,000</u>          |                | Gross profit b/d<br>235,000 |  |
|                         |                |                             |  |
| <b><u>EXPENSES.</u></b> |                |                             |  |
| Carriage outwards       | 3,000✓         |                             |  |
| Rent (60,000 + 7000)    | 67,000✓        |                             |  |
| Discount Allowed        | 18,000✓        |                             |  |
|                         |                |                             |  |
| 95,000                  |                |                             |  |
| General expenses        | <u>7,000</u> ✓ |                             |  |
| Net profit c/d          |                | <u>235,000</u> ✓            |  |
| <u>140,000</u> ✓        |                |                             |  |
|                         |                | Net profit b/d              |  |
|                         |                | 140,000                     |  |
| <u>235,000</u> ✓        |                |                             |  |

16 ticks x ½ =

(8mks)

**KITIKA TRADERS  
BALANCE SHEET  
AS AT 30 / 06 / 2005**

|            |            |
|------------|------------|
| <b>SHS</b> | <b>SHS</b> |
| <b>SHS</b> | <b>SHS</b> |



|                              |                  |                                   |                |
|------------------------------|------------------|-----------------------------------|----------------|
| <b><u>FIXED ASSETS</u></b>   |                  | Capital                           |                |
| Delivery van                 |                  | 178,000✓                          |                |
| 180,000✓                     |                  | Add Net profit                    |                |
|                              |                  | 140,000✓                          |                |
| <b><u>CURRENT ASSETS</u></b> |                  | <b><u>CURRENT LIABILITIES</u></b> |                |
| BANK                         | 60,000 ✓         | Creditors                         | 170,000✓       |
| DEBTORS                      | 120,000✓         | Outstanding Rent                  | <u>7,000</u> ✓ |
| STOCK                        | <u>135,000</u> ✓ |                                   | <u>177,000</u> |
|                              | <u>315,000</u>   |                                   |                |
|                              | <u>495,000</u>   |                                   |                |
|                              |                  |                                   | <u>495,000</u> |

8 ticks x ½ = (4mks)

b) Roles of ethics in business

- It encourages good working relationship among workers
- It encourages good working relationship between employer and Employees
- Ensuring professionals relate well to their clients
- Ensuring the rights of individuals in a working environment are protected.
- Ensure workers protect and uphold the good reputation of the business

organization.

- Helps workers develop the right skills and right attitudes towards work.

*Any well explained points*

*Each 2 mks = Total*

**8 mks**



## SAMPLE PAPER 10

### BUSINESS STUDIES PAPER 2

**565/2**

1.     a)     Discuss **five** importances of entrepreneurship to an economy  
(10mks)  
       b) Explain **five** measures that the government may take to curb inflation.  
(10mks)
  
2.     a) Discuss **five** problems linked to rapid population growth.  
(10mks)  
       b) Explain **five** factors that may hinder economic development.  
(10mks)
  
3.     a) Explain the differences between non-banking financial institutions and commercial  
banks.  
(10mks)  
       b) Discuss **five** circumstances under which an insurance company would not  
compensate the insured in the event of loss.  
(10mks)
  
4.     a) Highlight **five** situations where demand may increase with increase in commodity  
price.  
(10mks)  
       b) Give **five** reasons for differences in terms of trade between countries.  
(10mks)



5. a) Explain **five** benefits of localization of industries.

(10mks)

- b) Explain **five** reasons why consumers need protection against malpractices by some traders.

(10mks)

6. a) Explain **five** ways in which the government can influence the price of a commodity.

(10mks)

- b) Oriabengi shop sells all its goods at a margin of 20%. For the year ended 30<sup>th</sup> April 2006, its trading activities were as follows:

|                        |         |
|------------------------|---------|
| Purchases              | 800,000 |
| Sales                  | 950,000 |
| Net profit 5% of sales |         |
| Closing Stock          | 200,000 |

Calculate:-

- (a) The gross profit
- (b) Opening stock
- (c) Mark-up percentage
- (d) Net profit

(10mks)



## MARKING SCHEME

### SAMPLE PAPER 10

565/2

1a) **Importance of entrepreneurship to an economy.**

- Creation of employment opportunities since the enterprises formed will require human labour hence reduce the unemployment problem
- Leads to formation of small business which leads to development of skills
- Increases participation of Kenyan citizens in economic activities thus reducing foreign dominance.
- Leads to increase in savings and investments by local Kenyans which encourage use of local resources which would have remained idle.
- Leads to development of small scale business in rural areas hence alleviating the problems of rural to urban migration.
- Small scale business helps in distribution of income in the society as the successful entrepreneurial ventures encourages other people to start their own.
- Entrepreneurship improves standards of living since most of the people are engaged in employment.

*Any 5 x 2 = 10mks*

b) **Measures that the Government may take to curb inflation.**

- Price control measures.
- Regulating imports
- Controlling exports of essential commodities.
- Decreasing general taxes on essential commodities.
- Decreasing general taxes on commodities
- Increasing bank reserves.
- Increasing interest rates in order to discourage borrowing. *Any 5 explained @*

*2mks=10mks*



## 2.a) Problems linked to rapid population growth:

- Income per capital is affected leading to decline at a certain level.
- The government may find it difficult to provide adequate essential social services.
- There may be unemployment or over-employment due to migrants- this may lead to low standards of living.
- Consumption and saving is affected by increased population leading to reduced savings.
- Increased dependency ratio results on account of low infant mortality coupled with increased life expectancy leading to ageing population.
- Income inequalities arise with very few rich people and a majority of poor people.
- It may lead to overexploitation of natural resources leading to environmental degradation.

Rapid population growth therefore leads to a vicious cycle as below:



*explained@2mks=10mks*

## b) Factors that may hinder Economic development

- Lack of raw materials / resource endowment
- Inadequate capital
- Reliance on poor technology
- Political instability.
- Lack of physical infrastructure
- Socio- cultural constraints.
- Limited entrepreneurial abilities



- Poor nutrition and diseases
- Administrative constraints
- Foreign exchange constraints

*Any 5 explained @*

**2 mks=10mks**

3a) Differences between commercial banks and non-banking institutions

**Commercial banks**

**Non- banking institution**

|                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                           |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>- Provide current account facilities to the customers</li> <li>- Provide short-term and medium term finance .</li> <li>- Provide finance that is not restricted to any activity</li> <li>- Provide foreign exchange transactions to their customers</li> <li>- Do not participate in capital market trade.</li> <li>- Participate in clearing house activities</li> </ul> | <ul style="list-style-type: none"> <li>- They do not provide current account facilities</li> <li>-Provide medium and long term finance</li> <li>-Provide finance that is restricted for specialized purpose</li> <li>-Do not provide foreign exchange transactions</li> <li>-Can participate in capital market trade</li> <li>Do not participate in clearing house activities.</li> </ul> |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

*Any 5 corresponding differences @ 2mks each*

*(10mks)*

b) **Circumstances under which an insurance company would not compensate the insured.**

- When insured had no insurable interest in the property destroyed.
- When the loss is not as a result of the risk insured.
- When the insurance company is insolvent / bankrupt.
- When the policy was not in force at the time of the loss.
- Late claim, where the insured fails to follow the legal procedure when claiming.
- When the property has been destroyed by an act of God
- When the insured didn't disclose all the relevant facts when filling the form.
- When the loss occurred due to willful action by the insured. (Deliberate).



*Any 5 @*

**2mks = 10mks**

**4.a) Situations where demand may increase with increase in price.**

- Goods of ostentation i.e goods consumed for prestige.
- Inferior goods i.e good of low quality.
- Giffen goods i.e. goods of inferior quality consumed with quality goods.
- Expectation of future shortages.
- Expectation of further increases of prices.
- Necessities i.e goods that one cannot do without
- Habitual goods and services

*Any 5 @*

**2mks = 10mks.**

**b) Reasons for differences in terms of trade between countries.**

- Nature of the commodity being exported.
- Nature of the commodity being imported.
- Demand for a country's exports.
- Existing world economic order.
- Total quantity supplied.

*Any 5 @*

**2mks = 10mks**

**5.a) Advantages of localization.**

- Encourages establishment of support business enterprises banks.
- Creation of a pool of labour force.
- Other firms act as market for the produced goods/ services.
- Creation of employment opportunities.
- Development of the necessary infrastructure e.g roads, health, education

facilities.

- Easy access to raw materials

*Any 5 @*

**2mks = 10mks.**

**b) Reasons for consumer protection.**

- i) Overpricing of goods / unfair prices consumers need protection to stop traders





from exploiting them through high prices ( for the goods they sell)

ii) **Underweight goods / undersize goods/ less services.**

Some traders may sell

underweight goods/ undersize goods/ less services to make more money/ cheat customers.

iii) **Inferior/ low/ poor quality goods/ services.**

Some traders may cheat by selling inferior low/ poor quality goods

iv) **Misleading / false advertisements consumers need protection from those traders**

who may cheat them through misleading/ false advertisements.

v) **Harmful / unhygienic goods/ services.**

Goods unfit for consumption may be sold to customers and cause them harm.

vi) **Socially unacceptable goods / services.**

Example of such goods/ services e.g pornography. Some traders may sell offensive goods that injure the morality of the society.

vii) **Hoarding of goods/ services.**

Some traders may hinder/ refuse to sell goods/ services thus creating artificial shortages.

viii) **Breach of contract.**

Some traders may fail to fulfil meet their contractual obligation / guard against unfair repossession / harassment.

ix) **Unlicensed traders.**

Some traders may sell illegal goods / services.

x) **Unsafe building.**

Some traders may put up dangerous/ poor buildings.

xi) **Inhygienic environment / permits traders to sell good/ services in dirty environment / unhealthy environment.**

**Any 5**

***x 2 =10mks***

6 .a) **Ways in which the government can influence the price of a commodity.**

i) **Price control.**



The government may wish to control prices, especially of essential commodities in order to either encourage the consumption of the commodity or to protect the consumers against exploitation.

ii) **Taxation.**

The imposition of increased in tax on a commodity has the effect of increasing its cost and hence its price. An the other hand withdrawal of tax on a commodity would reduce its price

iii) **Subsidies.**

The government may meet part of the production cost of a commodity by offering subsidies to producers. This has the effect of lowering the cost of production.

iv) **Auction.**

This refers to the situation where the price of a commodity is set through bidding. Buyers are given an opportunity to suggest the price. The other the highest bidder buys the commodity.

v) **Tendering.**

This refers to a situation whereby buyers are invited to quote their prices independent of each other all the tenderts received are opened at a particular started time.

*Any 5 x 2 = 10mks*

b) i Gross profit = sales –cost of goods sold  $\sqrt{1/2}$

$$\text{Margin} = \frac{\text{G.P}}{\text{Sales}} \times 100 \sqrt{1/2}$$

$$20\% = \frac{\text{G.P}}{950,000} \times 100 \sqrt{1/2}$$

$$190,000 = \text{G.P} \sqrt{1/1}$$

*5 ticks @  $\frac{1}{2}$*

*marks 2  $\frac{1}{2}$  mks*



ii) **Opening stock**

Since C.O.S = Opening stock + purchase – closing stock ✓<sup>1/2</sup>

Value of opening stock

= C.O.S = sales – G.P ✓<sup>1/2</sup>

C.O.S = 950,000 – 190,000 ✓<sup>1/2</sup>

= 760,000

∴ 760,000 = Opening stock + 800,000

= 200,000 ✓<sup>1/2</sup>

760,000 = Opening stock + 600,000 ✓<sup>1/2</sup>

760,000 – 600,000 = Opening stock ✓<sup>1/2</sup>

**160,000** = Opening Stock ✓<sup>1/1</sup>

c) **Mark –up percentage**

Mark –up =  $\frac{\text{G.P}}{\text{C.O.S}} \times 100$  ✓<sup>1/2</sup>

=  $\frac{190,000}{760,000} \times 100$  ✓<sup>1/2</sup>

= **25%** ✓<sup>1/1</sup>

d) **Net profit**

Net profit is 5 % of sales



$$\therefore \text{N.P} = \frac{5}{100} \times 95000 \frac{1}{2}$$

**= 47,500**

*7½ mks)*

**(15 ticks @ ½ marks**

**(= 10mks)**

***END***